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Taiwan Industrials | Asia Pacific

Powering the Future of AI

Electrical equipment demand is rising alongside global investment in power infrastructure, grid upgrades, and data centers. OW on Fortune Electric, EW on Chung-Hsin Electric.

Multi-year grid capex cycle ahead: Power demand in major developed markets is reaccelerating as AI-driven data center buildouts shift the bottleneck from computing capacity to reliable power access. This trend is driving utilities to accelerate investment in generation, interconnection, and grid equipment, while supply of grid infrastructure and equipment remain constrained. We see multiple supporting indicators: 1) our Morgan Stanley US Power & Utilities team expects US electricity demand to rise at a ~2.6% CAGR, 2025-35, vs. ~0.4% since 2005, with data centers accounting for ~75-78% of incremental load through 2030; 2) aging networks and record additions of generation and storage are increasing requirements for transmission lines, substations, transformers and switchgear; and 3) supply response remains slow, with lead times for large power transformers at 2-4 years, and capacity additions constrained by skilled labor, testing, and certification. We expect this supply-demand imbalance to support order growth, backlog visibility, and pricing power. Qualified Taiwanese suppliers should also benefit from rising US market share and Taipower's grid-resilience program.

We are positive on the electrical equipment industry because we believe demand for power equipment in the US and Taiwan reflects a structural, multi-year trend that should support a power equipment product upcycle over the next five to seven years and create re-rating opportunities.

We initiate OW on Fortune Electric (FE) and EW on Chung-Hsin Electric (CHEM)... Both FE and CHEM have underperformed the TAIEX YTD (FE down 5% and CHEM up 8% vs. TAIEX +54%), mainly due to investor focus on AI-related growth themes, particularly semiconductors, as well as softer revenue growth resulting from slower deliveries to Taipower.

...Share price underperformance creates an attractive entry point for FE... On our estimates, FE trades at 27x 2027e P/E, vs. US/EU peers' 22-49x and Korea, Japan, and China peers' 8-69x. As it is a pure-play transformer manufacturer with significant transformer export exposure, we believe FE should benefit from continued gross margin expansion with a 27% EPS CAGR, 2025-28e, vs. peers' 7-129%. Key downside risks are slower capacity expansion in Taiwan, slower progress in power grid replacement and upgrade projects in the US/Taiwan, and delays in providing sufficient power infra to support planned data center developments.

...While CHEM may see greater volatility on exposure to Taipower: CHEM has leading market share in GIS. However, its significant exposure to Taipower may lead to greater revenue/earnings volatility. Key risks include: (+) increased overseas sales contribution near term and stronger revenue contribution from semi customers; (-) delays in Taipower's grid strengthening program and production disruption.

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TAIWAN CONSUMER AND INDUSTRIALS
Asia Pacific
Industry View In-Line

Exhibit 1 : We initiate coverage on Fortune Electric and Chung-Hsin Electric & Machinery

Company	Ticker	Last Close (NT\$)		Rating	Target P/E	
		8/5/2026	8/5/2026		2027e	Upside
Fortune Electric	1519.TW	663.0	OW	810	33x	22%
Chung-Hsin Electric & Machinery	1515.TW	161.0	EW	168	17x	4%

Source: Morgan Stanley Research estimates. Note: Unless otherwise indicated, prices in this report are as of the market close on August 5, 2026.

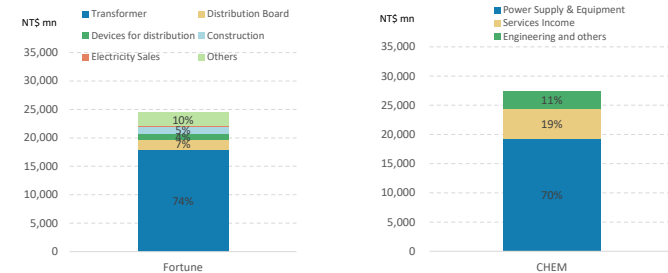
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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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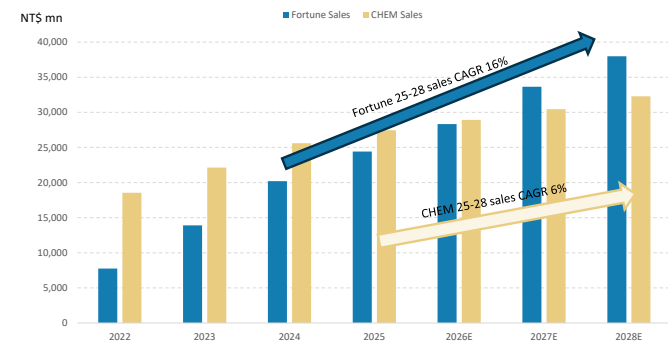
Key Charts

Exhibit 2: Revenue breakdown as of 2025



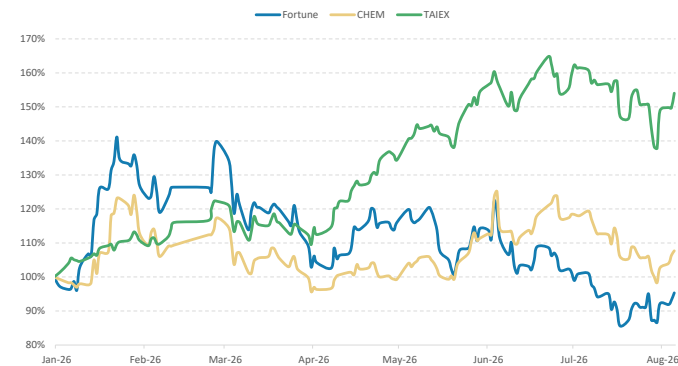
Source: Company data, Morgan Stanley Research.

Exhibit 4: Fortune and CHEM's revenue CAGR over 2025-28e



Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 6: Fortune and CHEM share price vs TAIEX (Index: Jan-26=100)



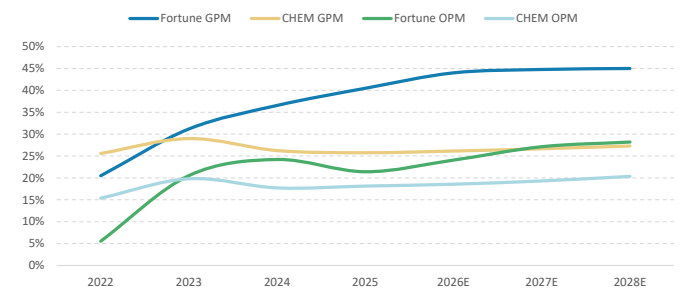
Source: FactSet.

Exhibit 3: Peer comparison as of 2025

Company name	Ticker	Core Business	2025 Sales (NT\$mn)	Electric Equipment % of 2025 sales	Transformer % of 2025 sales	Exports of 2025 sales	2025 GM(%)
Fortune Electric	1519.TW	Transformer	24,423	85%	74%	57%	40.5%
Shilin Electric	1503.TW (Not covered)	Transformer	37,178	72%	60%	20%	20.9%
Alis	1514.TW (Not covered)	LV Transformer	10,571	65%	13%	10%	18.7%
Chung Hsin Electric	1513.TW	GIS switchgear	27,449	70%	0%	6%	25.8%

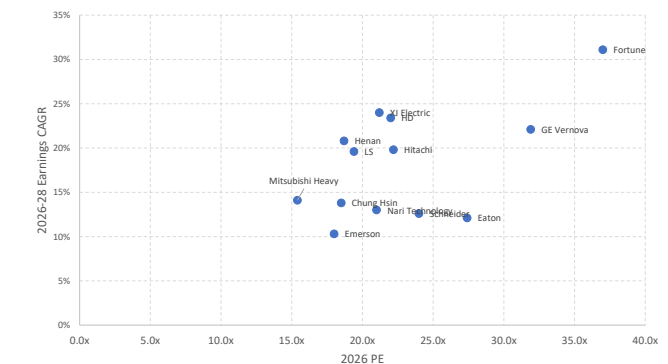
Source: Company data, Morgan Stanley Research. *For certain companies, revenue from specific categories is aggregated and classified as electrical equipment revenue. If you have any questions, please consult the team. **Regional sales breakdown is in terms of Electric Equipment Revenue. Note: Company's regional revenue is based on its own classification

Exhibit 5: Fortune and CHEM's GPM OPM



Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 7: P/E vs peers' earnings CAGRs over 2026-28e



Source: FactSet, Morgan Stanley Research estimates.

Electrical Equipment: Order of Preference

Exhibit 8: Electrical equipment: Order of preference

	Fortune 1519.TW	Chung-Hsin Electric and Machinery 1513.TW
Rating	OW	EW
Trading Currency	TWD	TWD
Price Target	810.0	168.0
Current Price	663.0	161.0
Upside/(Downside) (%)	22%	4%
Market Cap (in USD mm)	6,464.1	2,455.2
Avg Daily Traded Vol (in USD mm)	90.2	37.5
Street View: Ratings		
Buy/Overweight	NA	NA
Hold/Equal-weight	NA	NA
Sell/Underweight	NA	NA
Bull Case Value	1,150.0	250.0
Upside (%)	73%	55%
Bear Case Value	450.0	95.0
Downside (%)	-32%	-41%
Risk/Reward Skew	2.3	1.3
Morgan Stanley Estimates		
FY26e	TWD	TWD
Sales	28,330	28,928
EBITDA	7,279	8,985
EBIT	6,820	5,370
EPS	18.03	8.82
FY27e		
Sales	33,648	30,448
EBITDA	9,589	9,405
EBIT	9,128	5,879
EPS	24.55	9.88
FY26 MSe vs. Consensus Mean		
Sales	-5.2%	-3.7%
EBITDA	-16.5%	-6.2%
EBIT	-10.9%	-2.4%
EPS	-13.0%	-0.6%
FY27 MSe vs. Consensus Mean		
Sales	-8.4%	-11.5%
EBITDA	-14.0%	-13.0%
EBIT	-10.8%	-10.0%
EPS	-8.3%	-6.6%
Valuation Multiples at Last Close		
FY26e		
P/E	36.8x	18.2x
EV/EBIT	30.3x	14.3x
EV/EBITDA	28.3x	8.5x
EV/Sales	7.3x	2.6x
FCF Yield	1.4%	7.3%
FY27e		
P/E	27.0x	16.3x
EV/EBIT	22.7x	12.5x
EV/EBITDA	21.6x	7.8x
EV/Sales	6.2x	2.4x
FCF Yield	2%	8.9%

Source: FactSet, company data, Morgan Stanley Research (E) estimates. Past performance is no guarantee of future results. Results shown do not include transaction costs. Market data as of August 5, 2026.

Taiwan Electrical Equipment: Powering A Multi-year Growth Upcycle

We initiate coverage on Fortune Electric with an Overweight rating and NT\$810 price target and on Chung-Hsin Electric (CHEM) with an Equal-weight rating and NT\$168 price target. **Fortune's** greater exposure to overseas markets, particularly the US, makes it well positioned to benefit from ongoing power grid upgrades and AI data center demand, supporting a solid revenue and earnings growth outlook. We also view **Chung-Hsin Electric** favorably, given its strong competitive position in GIS. However, uncertainty around the timing of Taipower order deliveries, largely due to limited visibility on the central government's general budget, may constrain its near-term share price re-rating potential.

We like Fortune given its leading position in transformer exports and meaningful exposure to the fast-growing US market, which should support further pricing and margin expansion. We also view Fortune favorably for its exposure to transformers used in AI data centers (AIDCs). According to management, the company currently has >NT\$20bn of AIDC-related transformer orders on hand. Management indicated that order visibility now extends through 2029, with order intake accelerating as tariff-related uncertainties ease. In the near term, Fortune expects AIDC transformer shipments to reach NT\$4bn-5bn in 2026, representing more than 15% of group revenue. We therefore remain comfortable with our 2026 revenue forecast of NT\$28.3bn, up 16% YoY. Given ongoing capacity constraints, particularly tight labor availability in Taiwan, and the company's focus on higher-margin export orders, we are also confident in our 2026 margin forecasts. We expect Fortune to expand GPM to 44.0% (vs 40.5% in 2025) and OPM to 24.1% (vs 21.4% in 2025).

Fortune's share price has underperformed the TAIEX YTD in 2026 (-5% vs TAIEX +54% as of August 5), while Chung-Hsin Electric also has underperformed (+8% vs +54%). We attribute the underperformance in part to market concerns over slower progress of US power infrastructure and AIDC buildouts, alongside volatile market sentiment toward AI-related supply chain stocks.

We see multiple catalysts remaining in 2026, as we believe the electrical equipment industry is entering a structural growth cycle that could extend beyond 2030. Key drivers include rising power demand from data centers, the need to replace aging grid infrastructure, and ongoing transformer supply shortages.

Unlike prior capex-driven upcycles, when the industry was generally viewed as more cyclical and demand was largely linked to utility spending cycles, GDP growth, and industrial production, the current investment cycle is supported by AIDCs, grid modernization, and electrification. As a result, transformers, high-voltage switchgear, GIS, gas turbines, and related components have become critical constraints within the power infrastructure value chain.

We value both companies using a forward P/E methodology, as their equity stories are primarily driven by earnings growth from order conversion, product mix, capacity utilization and operating leverage. P/E captures these factors directly in per share earnings

and allows clearer comparison with global and regional electrical-equipment peers. In contrast, a DCF would be highly sensitive to assumptions around project-related working capital, customer advances, expansion capex and terminal growth, which can cause reported free cash flow to be volatile despite relatively visible earnings. A P/B-ROE framework is also less relevant, as the company's earnings are driven primarily by project execution and orderbook conversion rather than balance sheet deployment (like financial companies). In addition, book value does not fully reflect its customer qualifications, backlog quality, or competitive positioning in export markets.

Our price target of NT\$810 for Fortune implies 33x 2027e P/E, which we believe is justified by its greater exposure to transformer exports, participation in the global grid-equipment upcycle and superior earnings-growth visibility relative to Taiwanese peers. Fortune's business is concentrated in transformers and related transmission and distribution equipment, making it a relatively direct beneficiary of overseas grid and power-demand investment.

Our price target of NT\$168 for Chung-Hsin implies 17x 2027e P/E. We apply a lower multiple than for Fortune given Chung-Hsin's lower exposure to export orders and its heavy reliance on Taipower orders, which increases earnings sensitivity to Taipower's procurement cycle. Any slowdown in order momentum could weaken earnings growth.

We model Fortune's 2026 revenue at ~NT\$28.3mn (+16.0% YoY) and Chung-Hsin Electric's 2026 revenue at ~NT\$28.9mn (+5.4% YoY). We forecast net profit to increase at a 27% CAGR for Fortune and 11% for Chung-Hsin Electric over 2025-28e.

Exhibit 9: Fortune vs TAIEX YTD in 2026



Source: FactSet.

Exhibit 10: CHEM vs TAIEX YTD in 2026



Source: FactSet.

Key Investment Thesis for the Electrical Equipment Industry

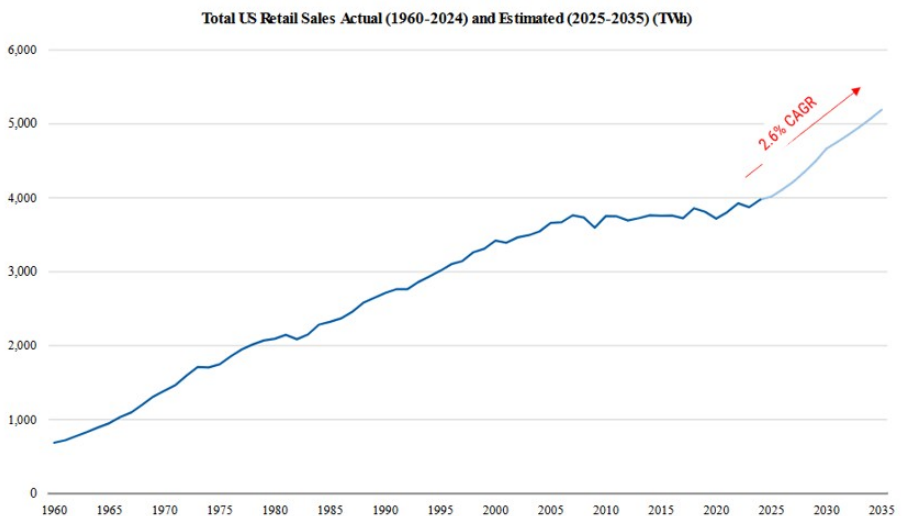
Data Centers: A Key Driver of Long-term Electricity Demand Growth

We view the buildout of AIDCs as a structural tailwind for global electricity demand and power-infrastructure investment. Unlike traditional commercial electricity demand, data center loads are large-scale, concentrated, and highly power-intensive, requiring stable, continuous, and high-quality power supply. As hyperscalers and enterprise customers accelerate data center construction, power availability is increasingly emerging as a key constraint. This trend is prompting utilities, independent power producers, and grid operators to invest more aggressively in generation capacity, transmission infrastructure, and distribution networks.

We believe this marks a shift in global power and grid investment from a low-growth, maintenance-driven environment to a growth-and-expansion phase. Unlike past decades, electricity demand is accelerating again across major developed markets after a prolonged period of stagnation, driven by electrification, AI/DC expansion, renewable integration, and energy security requirements. We believe these trends will support a long-duration electricity capex cycle, as utilities and grid operators upgrade infrastructure not only to meet higher power demand, but also to enhance system reliability and resilience for increasingly critical facilities.

Our Morgan Stanley US Power & Utilities team, led by David Arcaro, identifies data centers as the primary driver of US electricity load growth. As shown in [Exhibit 11](#), after delivering only about 0.4% CAGR since 2005, the team forecasts US electricity demand to expand at about 2.6% CAGR over 2025-35e. For a mature power market, this represents a meaningful inflection and suggests that the sector is transitioning from a maintenance-led investment environment to a capacity expansion cycle. The team [projects](#) data centers will add ~155 GW of incremental power demand through 2030, accounting for ~75-78% of total incremental US electricity load growth over the period. Data center electricity consumption could [rise from 5%](#) of total US electricity consumption in 2023 to ~15% by the end of the decade, while its share of total US power demand is expected to more than double by 2035 from 8% in 2025. This growth reflects the substantial power requirements of next-generation facilities, which can be up to 50x larger than older data centers will require significant investment in grid infrastructure and power system upgrades.

Exhibit 11: US power demand CAGR to accelerate to 2.6% towards 2035 vs 0.4% since 2005

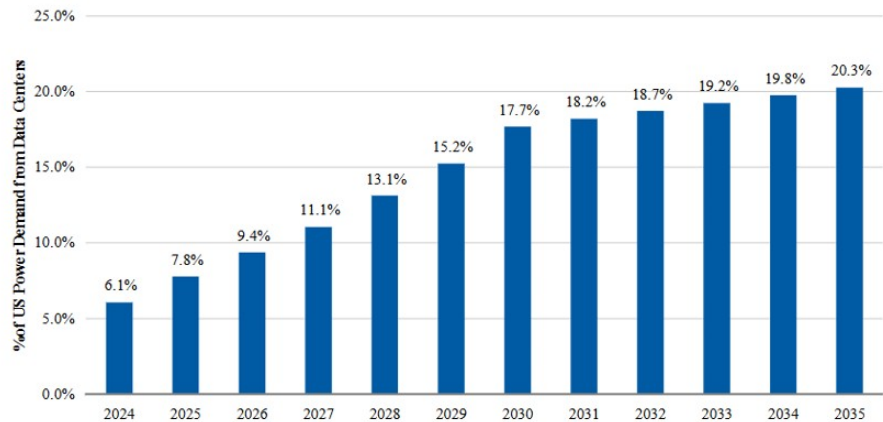


Source: Energy Information Administration (EIA), Morgan Stanley Research estimates.

[Exhibit 12](#) highlights data centers as the primary driver of accelerating US power demand. We forecast data centers' share of total US electricity demand to increase from 6.1% in 2024 to 20.3% by 2035. In other words, data centers are expected to account for more than one-fifth of US electricity demand by 2035, with their share rising by nearly 10 percentage points between 2025 and 2030. We expect this growth to be front-loaded, as power infrastructure must be planned, permitted, and built well before demand

materializes. Data center buildings and server racks can be deployed much faster than power plants, transmission lines, substations, and large transformers, requiring utilities to commit capital well ahead of demand. We believe this timing mismatch should extend the power infrastructure investment cycle and improve order visibility for electrical equipment suppliers.

Exhibit 12: % of US power demand from data centers

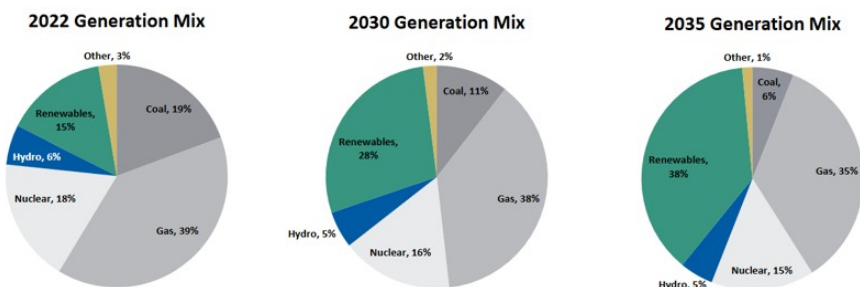


Source: EIA, Morgan Stanley Research estimates.

To meet the incremental demand, we think the US power system will require both additional generation capacity and a more flexible, resilient grid. As [Exhibit 13](#) shows, we expect the US generation mix to change materially over the next decade. We forecast renewables to increase from 15% in 2022 to 28% in 2030 and 38% in 2035, while coal falls from 19% in 2022 to 11% in 2030 and 6% in 2035. We also expect natural gas to remain a critical source of firm generation, representing 39% of the mix in 2022, 38% in 2030, and 35% in 2035, while nuclear remains relatively stable at ~15-16%.

This shift creates two investment needs: 1) additional firm generation, energy storage, and backup capacity to support growing 24/7 data center electricity demand; and 2) expanded grid infrastructure to integrate renewables and manage a more complex power system.

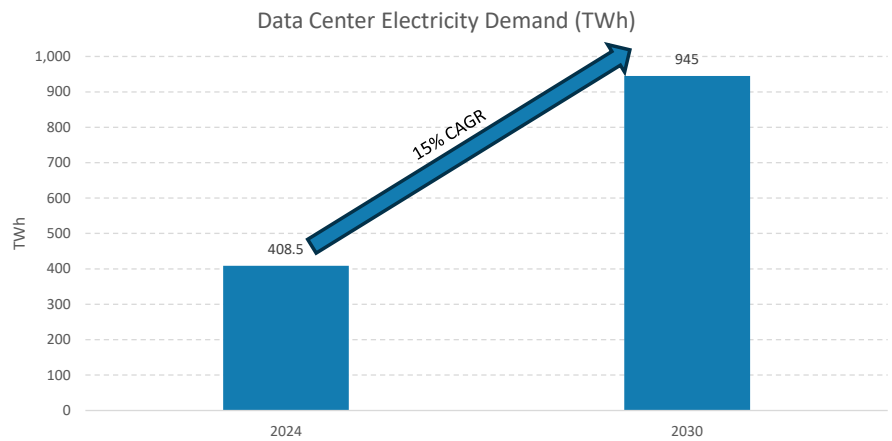
Exhibit 13: US power generation mix, by fuel type



Source: EIA, Morgan Stanley Research estimates.

Third-party [estimates](#) reinforce this outlook. The International Energy Agency (IEA) expects global data center electricity consumption will nearly double from 2024 levels to around 945 TWh by 2030, growing more than four times faster than electricity demand in other sectors.

Exhibit 14: Global data center electricity consumption



Source: International Energy Agency (IEA).

Overall, we believe data centers are driving a multi-year power infrastructure investment cycle. Accelerating electricity demand, a changing generation mix, and the lag between AI deployment and utility infrastructure buildouts should support sustained demand and strong backlog visibility for electrical equipment suppliers. In our view, these trends provide a favorable backdrop for multi-year revenue and earnings growth across the electrical equipment industry.

Aging US Grid Infrastructure Drives Long-Term Replacement Demand

US grid modernization remains a multi-year structural growth driver. The US power grid is aging rapidly, with the last major transformer installation cycle peaking during 1950-70 and a typical transformer useful life of only 20-40 years. According to the US Energy Information Administration (EIA), more than 75% of US power equipment had reached or exceeded its intended service life as of 2021, creating substantial replacement need across a grid that serves ~145mn customers and includes more than 7,300 power plants, 160,000 miles of high-voltage transmission lines, and millions of miles of distribution infrastructure.

Policy support has also strengthened materially. The Infrastructure Investment and Jobs Act (IIJA) enacted in 2021 of US\$1.2tn, includes US\$1.2tn of funding, including US\$16.5bn for power grid upgrades and the construction of thousands of miles of new transmission lines to support renewable energy integration. In addition, the US Department of Energy's Grid Deployment Office (GDO) received US\$2.5bn through the Transmission Facilitation Program (TFP) and US\$10.5bn through the Grid Resilience and Innovation Partnerships (GRIP) program to support the development of new interregional transmission lines and enhance power system resilience against increasingly frequent extreme weather events. We expect these programs to continue supporting US grid replacement and expansion through 2028.

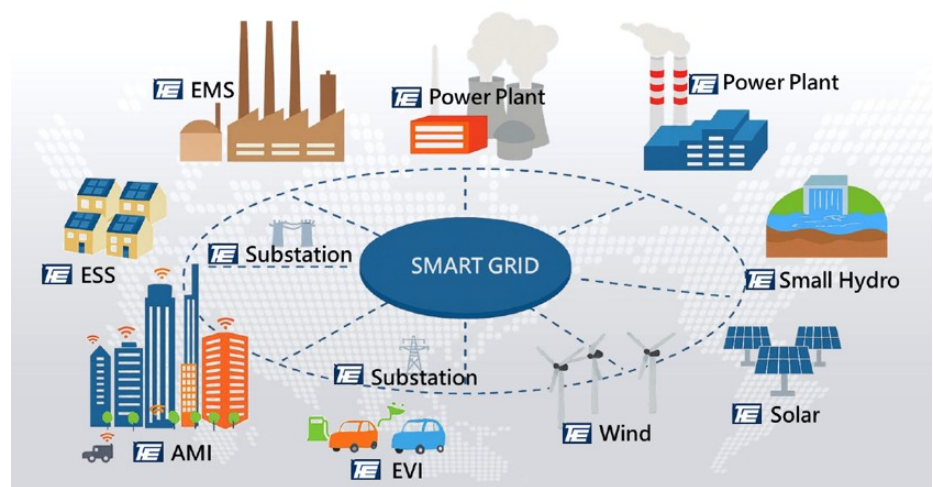
Smart grid investment accelerates, reinforcing US power infrastructure upgrade demand

A smart grid is a modernized electrical network that uses digital technologies, two-way communication, and automated controls to balance energy supply and demand in real time. Unlike traditional grids, which primarily deliver electricity in one direction from

generators to end users, smart grids enable two-way flows of both electricity and information. A smart grid is a self-contained distribution system that can integrate power from multiple sources, including renewable and energy storage. Smart grid adoption enhances monitoring, control, and system management capabilities for both utilities and consumers.

Given rising power demand, renewable energy integration, electrification, and the need for greater grid resilience, investment in smart grids is accelerating. As power systems evolve from centralized generation toward more digitalized, distributed, and bidirectional architectures, utilities face sustained investment needs in transmission and distribution automation, smart meters, sensors, monitoring equipment, and distributed energy resource management system (DERMS). We believe this trend reinforces the global power infrastructure investment cycle and provides additional support for demand across the electrical equipment value chain, including transformers, switchgear, grid automation, and monitoring solutions.

Exhibit 15: Smart grid overview



Source: Fortune Electric.

Strong demand for record power generation additions

According to the [EIA](#), US developers plan to add 86GW of new utility-scale generating capacity in 2026, which would set a record if realized. Importantly, this growth is largely driven by grid-dependent and variable resources, with solar accounting for 51% of planned capacity additions, battery storage 28%, and wind 14%.

This scale and mix of new capacity materially increases the need for grid investment. Solar and wind projects are often located in areas with strong renewable resources rather than near major demand centers, while battery storage requires advanced interconnection, dispatch, and grid-management capabilities. As a result, the key constraint is shifting from generation capacity to the grid's ability to interconnect, transmit, balance, and integrate new power supply.

We therefore view the record 2026 capacity pipeline as further evidence that US power grid demand is entering a multi-year structural growth cycle. Transmission lines, substations, interconnection equipment, grid automation, and energy management systems should benefit from sustained demand as utilities and grid operators integrate a

larger and more intermittent generation base. In our view, this makes grid infrastructure among the clearest and most durable beneficiaries of the US energy transition.

US transformer shortage supports pricing power and backlog visibility

US transformer supply remains structurally tight, with demand likely to stay elevated through the next decade. Domestic suppliers have underinvested in production capacity and skilled labor over the past 50 years, reflecting long payback periods that can extend for year or even decades, uncertainty around the durability of demand, and persistent constraints in materials, equipment, and skilled labor. Industry exits and consolidation have increased US reliance on imports, which account for roughly 82% of the market. Global players such as Schneider Electric, Siemens, ABB, and Eaton provide the majority of imported transformers, while domestic production meets only around 20% of demand.

At the same time, demand continues to accelerate as utilities and large developers rebuild inventories, replace aging equipment, and execute new-build projects. Supply remains constrained, extending lead times for large power transformers to 2-4 years, vs 1-2 years pre-pandemic, with limited signs of near-term improvement. Growth in data centers should continue to support structurally strong transformer demand over the next decade.

Manufacturers are responding with selective capacity additions, although any supply relief will likely be gradual, in our view. Siemens Energy plans to invest US\$150mn in a new power transformer facility in North Carolina. The company expects to complete the facility in late 2026 and begin production in early 2027. Schneider Electric is investing US\$140mn in US manufacturing upgrades, including facilities in Tennessee that produce switchgear and medium-voltage distribution transformers. Eaton is also expanding its North American manufacturing footprint across utility, commercial, healthcare, industrial, and residential end-markets, with most projects expected to be completed between 2025 and 2027.

Overall, we expect transformer supply constraints and elevated lead times to persist in the near term, supporting pricing power and backlog visibility for suppliers with available capacity.

Accelerating growth in data center power consumption

According to the [US Department of Energy](#) (DOE), data center power consumption is likely to continue accelerating over the medium term, driven by the rapid expansion of AI, cloud computing, domestic manufacturing, and broader electrification across the US economy. The DOE's 2024 report on US data center energy use, prepared by Lawrence Berkeley National Laboratory, estimates that data center load growth has tripled over the past decade and could double or triple again by 2028.

In 2023, US data centers consumed ~176 TWh of electricity, representing about 4.4% of total US electricity consumption. By 2028, the DOE projects data center electricity consumption could rise to 325-580 TWh, equivalent to 6.7-12% of total US electricity consumption. This suggests data centers will account for a significantly larger source of incremental power demand over a relatively short period, with electricity consumption potentially exceeding three times 2014 levels, when data centers consumed ~58 TWh.

Taipower's Grid Resilience Strengthening Construction Plan should support a positive long-term demand outlook

Taipower's Grid Resilience Strengthening Construction Plan represents a multi-year

upgrade of Taiwan's power grid, with a total planned investment of ~NT\$564.5bn over ten years. The program aims to reduce the risk of large-scale power outages, improve grid stability, support renewable energy integration, and enhance the resilience of Taiwan's electricity infrastructure. The plan focuses on three major areas: grid decentralization, equipment reinforcement, and grid protection. Major projects include the construction and expansion of substations, upgrades to aging grid equipment, strengthening of regional power supply networks, and improvements to monitoring and protection systems. As renewable energy penetration increases and electricity demand from industrial users continues to grow, Taiwan's power system is becoming more decentralized, requiring additional transmission and distribution infrastructure to maintain reliability.

In addition to the energy transition, ongoing capacity expansion in the semiconductor industry is another key driver of grid upgrades in Taiwan, with semiconductor-related electricity demand expected to grow particularly rapidly. According to Taipower's latest assessment, continued capacity additions in wafer fabrication, high-bandwidth memory, and advanced packaging and testing are expected to increase electricity consumption by Taiwan's semiconductor industry from ~52bn kWh in 2026 to 80bn kWh by 2030. Over the same period, Taipower projects the industry's share of Taiwan's total electricity consumption to rise from 17.7% to 24.3%. Taipower further estimates that semiconductor-related electricity demand will reach 110bn kWh by 2035, accounting for 30.4% of Taiwan's total power consumption. These projections highlight the semiconductor industry's growing importance in Taiwan's electricity demand profile and suggest greater investment requirements across transmission capacity, regional power dispatch, substation facilities, and overall grid stability.

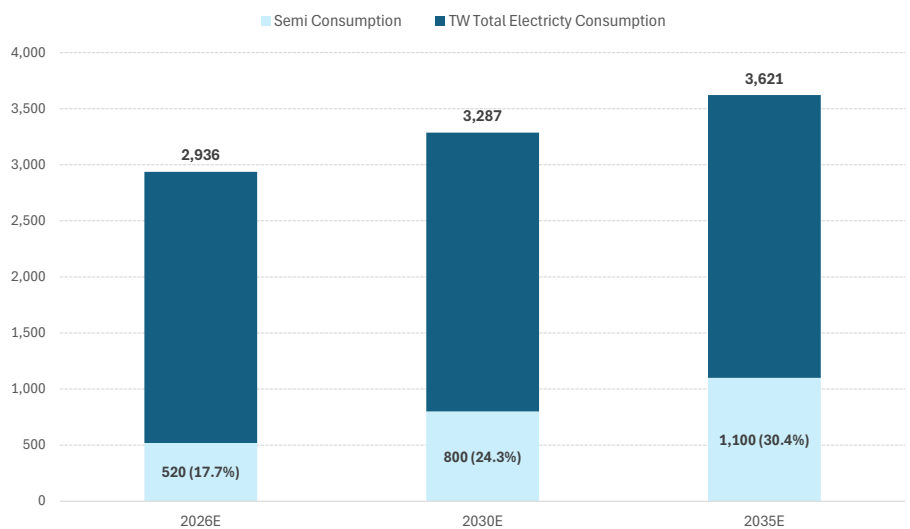
Against this backdrop, Taipower's grid resilience program should provide a positive demand driver for Taiwan's electrical equipment industry, as it creates a long-duration capex cycle for key power equipment including transformers, switchgear, GIS, and substation-related systems. We think companies such as Chung-Hsin Electric and Fortune Electric could benefit from improved order visibility and backlog growth, given their exposure to Taipower-related grid equipment demand. Transformer demand should benefit from the need for more voltage conversion points across a more distributed grid, while GIS and switchgear demand could benefit from substation upgrades, replacement of aging equipment, and higher grid-stability requirements. Overall, Taipower's grid upgrade plan provides a structural source of demand for domestic electrical suppliers, supporting multi-year revenue growth, higher capacity utilization, and potentially stronger pricing power as grid resilience becomes a national infrastructure priority.

Exhibit 16: Taipower's Grid Resilience Strengthening Construction Plan



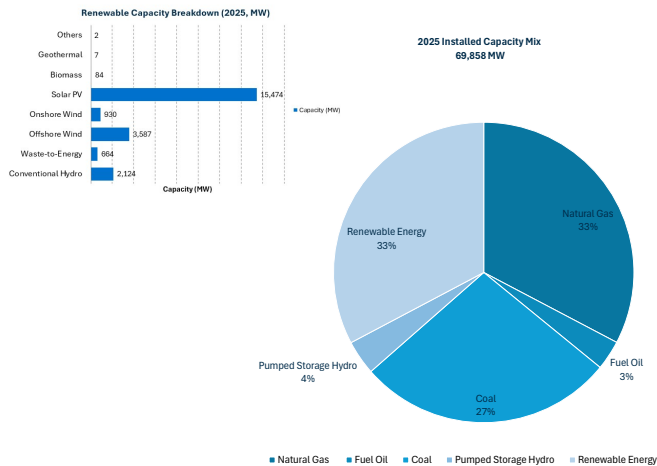
Source: Taiwan Power Company.

Exhibit 17: Semiconductor-related electricity consumption to rise at a 8.7% CAGR over 2026-35e



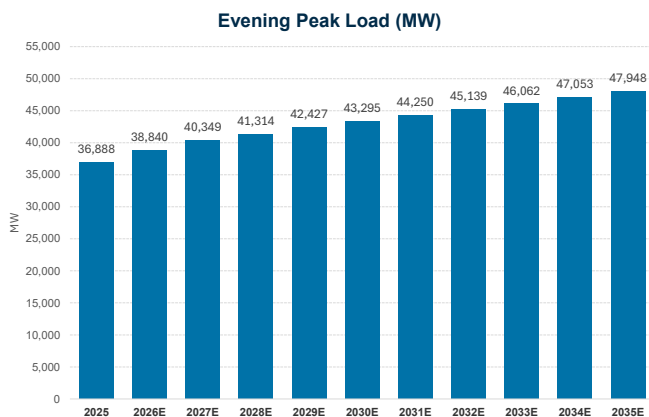
Source: Taiwan Power Company (E) estimates.

Exhibit 18: Taiwan 2025 installed electricity capacity mix



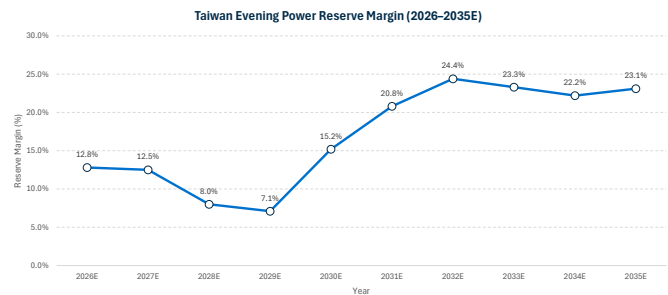
Source: Taiwan Energy Administration.

Exhibit 20: Taiwan evening peak load to rise at a 2.7% CAGR over 2025-35



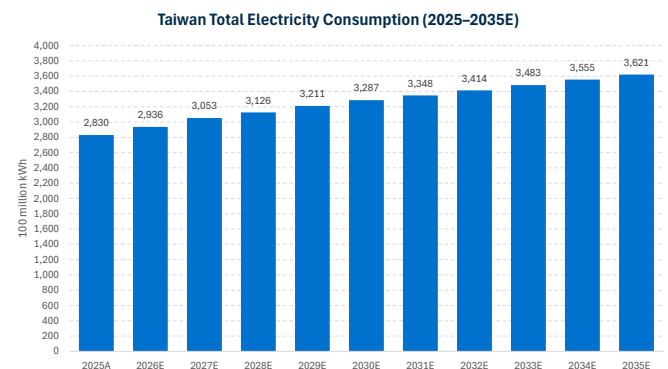
Source: Taiwan Energy Administration (E) estimates.

Exhibit 19: Reserve margin is projected to reach the lowest level in 2029



Source: Taiwan Energy Administration (E) estimates.

Exhibit 21: Taiwan total electricity consumption to rise at a 2.5% CAGR over 2025-35



Source: Taiwan Energy Administration (E) estimates.

Hyperscaler participation should accelerate US power infrastructure investment

We believe the electrical equipment industry stands to benefit from accelerating US power infrastructure investment as hyperscalers take a more active role in funding grid and power generation upgrades. With the Trump administration [encouraging large power users to contribute](#) to grid and power plant infrastructure costs and enter into long-term power purchase agreements (PPA) with independent power producers (IPP), we expect IPPs to gain better revenue visibility and improved access to project financing. This could increase their willingness to commit capital to new power generation projects.

Hyperscaler-funded infrastructure could also reduce reliance on the traditional utility "rate-base" approval process, which has historically constrained the pace of grid investment. By providing upfront capital and long-term demand visibility, technology companies may help ease financing pressure for utilities and IPPs. We expect hyperscalers to place increasing emphasis on speed to market over equipment costs, which could support sustained pricing for large power transformers.

On-site power generation for AI data centers creates incremental

transformer demand

We see the increasing adoption of on-site power generation for AI data centers as an additional demand driver for the electrical equipment industry. Given lengthy grid interconnection timelines in the US and potential changes to large-load tariff structures across several regional transmission companies, AIDC operators are increasingly evaluating self-developed or dedicated on-site power generation to ensure that new campuses can become operational on schedule.

This trend should benefit the electrical equipment industry in two ways. First, hyperscaler-led projects typically involve faster and less complex capital allocation processes than traditional utility projects. In addition, hyperscalers may exhibit greater price flexibility given the strategic importance of AI capacity deployment. Second, large AIDC campuses can require 500MW or more of power capacity and still need significant redundancy, backup generation, step-up transformers, and substation equipment. Compared with a centralized grid-supplied model, on-site generation adds an additional layer of power infrastructure, increasing the electrical equipment content per data center campus.

FERC's orders of speeding up grid interconnection applications to accelerate implementation for electrical equipment

We think that the [latest order](#) from the US Federal Energy Regulatory Commission (FERC) could help accelerate the buildout of power infrastructure needed to support data center growth. On June 18, the commission has directed the country's six major grid operators — PJM Interconnection (PJM), Midcontinent Independent System Operator (MISO), Southwest Power Pool (SPP), California Independent System Operator (CAISO), ISO New England, and New York Independent System Operator (NYISO)—to review their large-load interconnection frameworks and submit reforms within 60 days. The review will cover large-load interconnection processes, co-location, behind-the-meter generation, transmission cost allocation, and reliability safeguards. Grid operators must also report within 30 days on how they plan to ensure sufficient generation capacity to meet both existing and incremental large-load demand. In addition, FERC's efforts to streamline reviews related to the National Environmental Policy Act (NEPA) could support more timely execution of power infrastructure projects.

In our view, this order should further improve the execution of energy infrastructure projects, which could support faster growth in demand for electrical equipment across power distribution, grid interconnection, backup power, power conversion, and control systems.

Industry Overview

What is the electrical equipment industry?

The electrical equipment industry comprises companies that manufacture and maintain equipment used in **high-voltage** and **high-current power systems**. The industry produces critical power infrastructure, such as **generators, large-scale transformers, and switchgear**. These components form the backbone of national power grids, enabling the stable transmission and distribution of electricity from power plants to industrial, commercial, and residential users.

Size of the electrical equipment industry

According to [Fortune Business Insight](#), the global electrical equipment industry was valued at US\$1,660.2bn in 2025 and is projected to grow from US\$1,822.9bn in 2026 to US\$4,151.6bn by 2034 – a 10.8% CAGR – with Asia Pacific dominating the electrical equipment industry with a market share of 39.4% in 2026.

Structural demand support for the electrical equipment industry

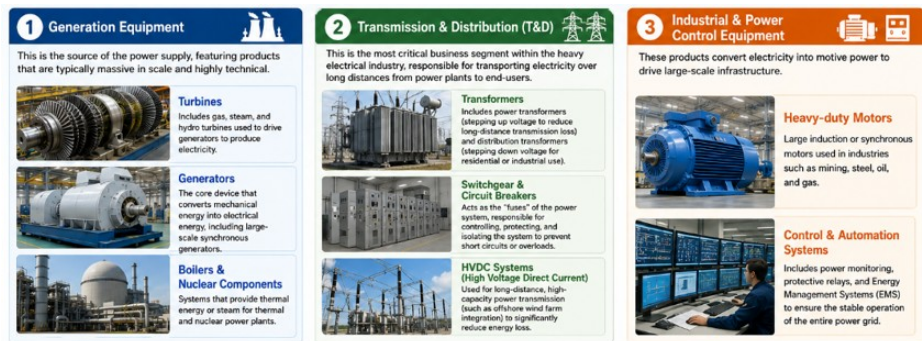
[According to the IEA](#), the global power system is entering the “Age of Electricity,” with electricity demand accelerating faster than overall energy demand. The IEA forecasts power demand to grow by more than 3.5% annually through 2030, or at least 2.5 times the pace of total power demand, driven by industrial electrification, electric vehicle adoption, rising cooling demand, and the expansion of data centers and AI-related infrastructure.

This sustained growth in electricity consumption is creating a multi-year investment cycle in grid expansion and modernization. Renewable power integration, higher peak loads, an aging grid infrastructure, and growing concerns over power reliability and energy security are also increasing the need for transmission, distribution equipment, and backup power systems. The IEA estimates that global grid investment is currently ~US\$400bn annually, but will need to rise to more than US\$600bn annually by 2030 to meet national climate targets. Transmission investment alone rose 10% in 2023 to US\$140bn, and required spending could exceed US\$200bn annually by the mid-2030s under current policy settings. At the same time, strong demand growth has also exposed supply bottlenecks across key electrical equipment categories, such as transformers and cables. According to the [IEA](#), procurement times now run 2-3 years for cables and up to four years for large power transformers, with average lead times roughly doubling since 2021. Cable prices have nearly doubled since 2019 and power transformer prices are up ~75%. These constraints suggest that robust demand, limited manufacturing capacity, and long project cycles are supporting pricing power and backlog visibility across the electrical equipment sector.

What are the product categories in the electrical equipment industry?

Products in this industry can be divided into three core categories, based on the flow of electricity from generation to consumption.

Exhibit 22: Electrical equipment industry: Product categories



Source: Morgan Stanley Research.

What is a transformer?

A transformer is a device that transforms voltage, current, and impedance using electromagnetic mutual inductance. Transformers are essential components of the power grid, enabling the efficient transmission and distribution of electricity by adjusting voltage and current levels between circuits. As passive devices, transformers do not generate power; instead, they transfer electrical energy through electromagnetic induction. A standard transformer comprises a primary coil, a secondary coil, and a iron core (magnetic core).

By reducing transmission losses and improving system reliability, transformers play a critical role across the power value chain. Their core functions include voltage transformation, current transformation, impedance matching, electrical isolation, and voltage regulation (magnetic saturation transformer), making them indispensable infrastructure for power generation, transmission, distribution, and industrial applications.

Industrial transformers

Large industrial transformers are complex, customized products with cost and technology barriers beyond windings and cores. Key accessories such as conservators, cooling systems and thermometers support safety monitoring, operating stability and emergency alarms. Soft costs, including labor and overhead, typically account for ~55% of total cost, with materials representing the remaining ~45%. Industrial transformers vary by material, voltage level and functionality, including amorphous metal transformers (AMT), dry-type and oil-immersed transformers. The market typically segments products by voltage level, as higher-voltage transformers are more difficult to manufacture. Capacity, size, and features such as fire resistance and low noise, further increase production complexity, cost, and barriers to entry.

Exhibit 23: Transformer: Typical unit and main functions

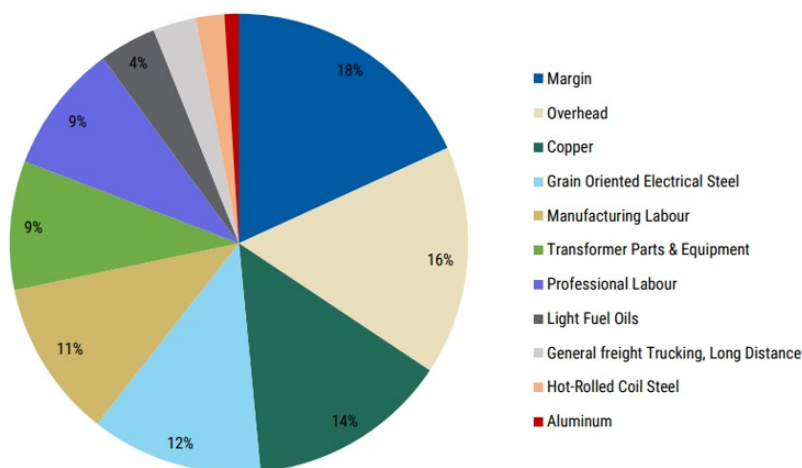
TYPICAL TRANSFORMER	MAIN FUNCTIONS OF A TRANSFORMER
	 1. Voltage Transformation Steps up or steps down voltage levels to enable efficient transmission and safe utilization.
	 2. Current Transformation Changes current level inversely to voltage while maintaining power (ideal case).
	 3. Impedance Transformation Matches impedance between circuits for maximum power transfer.
	 4. Isolation Provides galvanic isolation between circuits for safety and noise reduction.
	 5. Voltage Regulator Adjusts output voltage using magnetic saturation transformers under varying load or input.
	 And More Other applications include measurement, protection, power quality improvement, etc.

Source: Morgan Stanley Research.

Industrial transformer cost structure: Copper and silicon steel are key material inputs; AMT supports energy-efficiency upgrade trend

For industrial transformers, material costs are mainly driven by magnetic core materials, circuit materials, insulation materials, cooling materials, and structural components. Among these, copper wire and silicon steel are the two most important cost items, accounting for ~13-14% and 11-12% of total cost, respectively. Copper wire is used in the internal winding system, which forms the core electrical circuit of a transformer and is critical to voltage conversion. Magnetic core materials are typically made of grain-oriented silicon steel or amorphous metal, which help generate strong magnetic induction when the coil is energized. As a result, pricing movements in copper and silicon steel prices can have a meaningful impact on transformer production costs and gross margin, particularly for manufacturers with limited cost pass-through ability. Amorphous metal transformers represent an important energy-efficiency upgrade within the transformer market. AMTs use an iron-based amorphous metal core, typically made from an alloy of iron, boron, silicon, and phosphorus. Compared with conventional transformers using silicon steel cores, AMTs can reduce no-load losses by around 70–80%, improving power efficiency and lowering electricity wastage. Lower transformer losses reduce the need for incremental power generation, which in turn helps lower carbon emissions. Given rising focus on energy security, grid efficiency, and environmental protection, AMTs have seen broad adoption in large developing markets such as China and India, and could remain a key product category as utilities continue to prioritize efficiency upgrades across transmission and distribution networks.

Exhibit 24: Cost breakdown of an average transformer



Source: Wood Mackenzie Supply Chain, data as of April 2024.

Transformer pricing: US benefits from stronger cost pass-through; Taiwan upside more volume-driven

Industrial transformer pricing varies significantly by product specification and market, reflecting differences in supply-demand dynamics, customer structure, and regulatory frameworks. Compared with Taiwan, US transformer manufacturers are better positioned to pass cost inflation through to utility customers. This is supported by the US power market's vertically integrated structure, in which utilities control generation, transmission, distribution, and retail, accounting for roughly 60% of the market. In the US, regulated utilities are generally allowed to reflect reasonable costs, including taxes, maintenance expenses, depreciation, and capex through electricity tariffs, subject to regulatory approval.

As long as grid investments are reasonable and supportive of service reliability, regulators are likely to allow these costs to be included in the rate base with a regulated return. This mechanism improves utilities' ability and willingness to absorb higher equipment costs, including transformers, particularly during periods of tight supply. For more details on the US power grid framework, please refer to our [Global Foundation Report](#).

In contrast, Taiwan's pricing environment is more constrained. Taipower is the sole electricity provider in Taiwan and remains government-owned, making tariff adjustments more difficult and subject to public affordability considerations. Given Taiwan's electricity tariffs are among the lowest globally, and Taipower has been loss-making in recent years, cost discipline remains stringent across its procurement process. As a result, local electrical equipment suppliers have less room to raise selling prices versus peers in more market-driven or regulated-return systems. For Taiwan transformer manufacturers, we therefore expect earnings upside to be driven more by shipment volume growth from Taipower's grid investment cycle rather than meaningful ASP expansion.

GIS: Essential grid protection equipment supported by SF₆ insulation technology

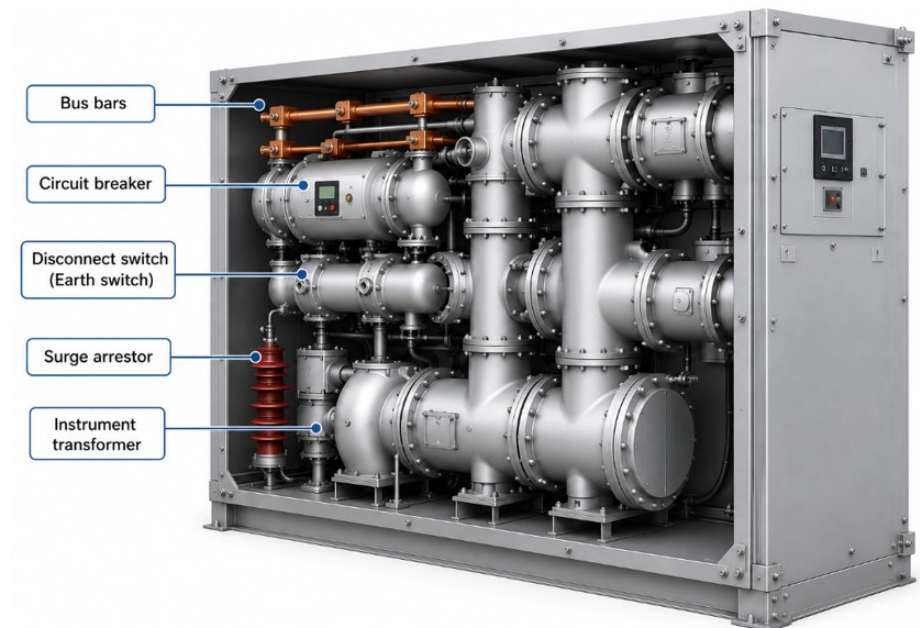
A gas-insulated switchgear (GIS) is a type of insulated switchgear, a composite device encapsulated in a solid metal frame that houses different electrical devices such as circuit breakers, bus bars, transformers, earth switches, and surge arrestors. All of these devices

are immersed in sulfur hexafluoride gas (SF_6) inside shielded compartments that are bordered by barrier devices.

The main function of a GIS is to stabilize power in the electricity substation mainly by disconnecting power in dangerous situations to ensure the safety of downstream power distribution systems. The switchgear can be divided into three types, according to function: circuit breaker, fuse wire, and switch. It can also be subdivided into many different types according to the insulating medium used or different applications. The main feature of a GIS device is the use of SF_6 , an inert gas with exceptional insulation properties and chemical and thermal stability.

Normally, GIS is mostly used for industrial power grids, and specifications vary from company to company. The market also normally differentiates GIS by voltage level for easier discussion. The higher the voltage level of the GIS, the more difficult it is to produce.

Exhibit 25: Gas-insulated switchgear



Source: Morgan Stanley Research.

Exhibit 26: GIS voltage classes

Voltage Range	Category	Typical Use
Up to 72.5 kV	Distribution GIS	Local power distribution networks
72.5–145 kV	Subtransmission GIS	Regional substations and subtransmission systems
170–245 kV	Transmission GIS	High-voltage transmission networks
362–550 kV	EHV GIS (Extra-High Voltage)	Bulk power transmission over long distances
800 kV and above	UHV GIS (Ultra-High Voltage)	Ultra-long-distance, large-capacity power transmission

Source: Morgan Stanley Research.

Exhibit 27: 69KV GIS



Source: CHEM.

Exhibit 28: 345KV GIS



Source: CHEM.

Operating framework and key technical principles of SF₆-based GIS

GIS uses SF₆ to protect electrical power supply and distribution by interrupting the flow of current in an electrical circuit when necessary. Under normal conditions, the breaker contacts are closed, but when a failure occurs in the electrical system, these contacts separate, and an arc occurs between them. The displacement of the mobile contacts is synchronized with that of a valve that allows the entry of high-pressure SF₆ into the chamber where the arc is occurring. The properties of SF₆ allow the absorption of free electrons in the path of the arc, forming ions that do not carry electrical charge – because they become too heavy. The dielectric strength of the gas increases notably, so the arc is extinguished. Due to its ability to rapidly recombine, as the arc is extinguished, the pressure of the SF₆ also decreases, so it is stored in a low-pressure tank and then in a high-pressure tank ready for reuse. Thanks to these properties, SF₆ insulating is much more effective than air insulating – by about three times – which makes these substations well-suited for medium and high-voltage power systems.

GIS vs AIS: Performance advantages drive more GIS adoption in high-density regions

Compared with air-insulated switchgear (AIS), GIS requires significantly less physical space, as its superior insulation performance enables effective operation with only a few centimeters of clearance. This compact footprint, combined with higher reliability and lower maintenance requirements, makes GIS particularly attractive for applications where

land availability is constrained or operational continuity is critical.

GIS installations can be deployed in a wide range of environments, including indoor and outdoor substations, urban centers, mountainous regions, and underground facilities. As a result, GIS has become the preferred solution in densely populated markets such as Taiwan and other Asian locations, where efficient land utilization is a key consideration.

In contrast, AIS generally offers lower upfront costs due to its simpler design and lower technical barrier for production. Consequently, AIS remains a competitive option in regions with abundant land and lower population density, such as the US, where space constraints are less pronounced and cost considerations often outweigh the benefits of GIS.

Global Peer Valuation Comps

Exhibit 29: Valuation comps – Global power grid, transformer, utility and infrastructure stocks

Company Name	Ticker	Company Name	Rating	Currency	PT	Last Close	Mkt Cap	P/E	20E	21E	22E	EPS CAGR	P/B	20E	21E	22E	EV/EBITDA	20E	21E	22E	Div Yld			
Taiwan																								
Fortune Electric	5519.TW	Fortune Electric	OW	TWD	810.00	663.00	6,493	Dec	36.8x	27.5x	23.3x	25.6%	23.2x	17.4x	13.4x	38.3x	21.8x	18.5x	57.3%	73.7%	66.0%	2.0%		
Shinshin Electric	1503.TW	Shinshin Electric	NC	TWD		197.50	3,185	Dec																
Teco	1504.TW	Teco	NC	TWD		66.00	4,828	Dec																
Chung-Hsin	1513.TW	Chung-Hsin	EW	TWD	168.00	161.00	2,462	Dec	18.2x	16.3x	14.5x	12.3%	3.6x	3.5x	3.3x	8.5x	7.8x	7.1x	20.4%	21.7%	23.3%	4.1%		
Average	1514.TW	Avg	NC	TWD		121.50	898	Dec																
Korea																								
HD Hyundai Electric	257260.KS	HD Hyundai Electric	OW	KRW	1,200,000.00	772,000	19,509	Dec	27.9x	25.2x	17.8x	22.2%	11.3x	9.4x	6.8x	22.2x	14.5x	12.5x	44.5%	47.7%	45.5%	1.0%		
LS Electric	016120.KS	LS Electric	OW	KRW	270,000.00	212,000	22,133	Dec	57.3x	43.2x	32.4x	33.1%	13.6x	11.5x	9.7x	39.0x	27.8x	21.9x	24.8%	25.9%	32.5%	1.0%		
Daejeon Electricity	034020.KS	Daejeon Electricity	OW	KRW	120,000.00	77,000	34,626	Dec	134.5x	89.8x	48.2x	67.1%	5.9x	5.4x	4.9x	37.3x	27.7x	22.2x	5.5%	9.1%	11.4%	0.0%		
Average		Avg	OW	KRW	101.20	47.69	4,798	Dec	42.6x	31.7x	25.1x	32.6%	12.0x	9.5x	6.8x	21.6x	14.1x	10.9x	34.7x	38.3%	37.7%	1.2%		
China																								
Anhui Yingliu	603328.SS	Anhui Yingliu	OW	CNY	101.20	47.69	4,798	Dec	66.0x	29.5x	19.2x	75.6%	9.9x	9.0x	4.1x	36.5x	24.4x	17.8x	10.9%	18.8%	23.6%	0.3%		
Ningbo Sansheng	601867.SS	Ningbo Sansheng	OW	CNY	38.20	18.19	3,353	Dec	107.7x	8.2x	6.8x	25.2%	17.7x	1.5x	1.3x	7.4x	5.5x	4.4x	16.3%	13.2%	20.6%	4.0%		
Huaming	002270.SZ	Huaming	OW	CNY	28.40	21.05	2,752	Dec	24.0x	20.1x	17.5x	18.9%	5.8x	5.1x	4.7x	19.6x	16.5x	13.9x	24.1%	26.8%	28.7%	2.9%		
Siyuan	002328.SZ	Siyuan	OW	CNY	237.00	189.95	18,661	Dec	30.5x	21.7x	16.5x	36.2%	6.6x	5.2x	4.1x	22.3x	15.8x	11.5x	23.9%	26.8%	27.8%	0.4%		
XJ Electric	004000.SZ	XJ Electric	EW	CNY	32.18	23.48	3,519	Dec	18.2x	16.0x	14.8x	11.0%	1.8x	1.6x	1.5x	9.5x	8.1x	7.1x	10.2%	10.8%	10.5%	0.8%		
Nari Technology	602468.SS	Nari Technology	OW	CNY	32.25	24.54	26,112	Dec	50.9x	18.4x	16.5x	12.7%	3.4x	3.2x	2.9x	16.1x	14.1x	12.4x	17.1%	17.9%	16.4%	2.3%		
Henan Phosaguo Electric	600112.SS	Henan Phosaguo Electric	OW	CNY	27.85	21	4,210	Dec	19.3x	16.1x	17.1x	8.2%	2.3x	2.1x	1.9x	9.8x	7.8x	7.1x	12.4%	13.8%	11.7%	2.0%		
Average		Avg	OW	CNY	120.27	55.60	3,400	Dec	42.6x	31.7x	25.1x	32.6%	12.0x	9.5x	6.8x	21.6x	14.1x	10.9x	34.7x	38.3%	37.7%	1.2%		
Japan																								
Mitsubishi Heavy	7011.T	Mitsubishi Heavy	OW	JPY	5,700.00	4,000.00	85,215	Mar	33.9x	28.0x	24.3x	16.1%	3.9x	3.6x	3.2x	17.7x	15.0x	13.2x	12.2%	13.4%	14.0%	1.1%		
Hitachi	6501.T	Hitachi	EW	JPY	5,700.00	5,476.00	155,203	Mar	25.7x	20.8x	17.1x	22.5%	3.8x	3.3x	2.9x	12.4x	10.5x	8.9x	14.4%	16.5%	18.0%	1.0%		
Average		Avg	OW	JPY	5,700.00	5,476.00	155,203	Mar	29.8x	24.4x	20.7x	19.3%	4.1x	3.4x	3.1x	15.1x	12.7x	11.1x	13.3%	15.0%	16.0%	1.0%		
US																								
GE Vernova	GEV.N	GE Vernova	OW	USD	1,350.00	1,016.53	271,269	Dec	31.6x	45.2x	29.3x	50.1%	20.8x	17.6x	12.3x	40.0x	31.3x	20.1x	71.9%	42.6%	48.8%	0.2%		
Hornet	HIRM.N	Hornet	OW	USD	315.00	282.20	115,311	Dec	35.3x	48.5x	42.8x	16.1%	16.4x	16.3x	14.2x	38.4x	32.8x	23.2x	36.1%	35.8%	35.6%	0.2%		
Eaton	ETN.N	Eaton	OW	USD	500.00	444.77	172,749	Dec	33.4x	27.8x	23.7x	16.6%	7.8x	6.9x	6.1x	25.8x	21.5x	18.5x	24.9%	25.4%	27.2%	1.0%		
Emerson Electric	EMR.N	Emerson Electric	UW	USD	125.00	158.84	89,966	Sep	34.7x	23.1x	21.3x	7.8%	4.3x	4.4x	4.5x	16.1x	15.0x	14.0x	17.6%	18.6%	20.6%	1.4%		
Average		Avg	OW	USD	353.25	318.58	134,594	Dec	35.3x	35.1x	33.3x	12.8x	11.5x	9.3x	30.1x	25.5x	20.4x	45.9%	39.0%	33.3%	0.7%			
Europe																								
Schneider Electric	SCHN.PA	Schneider Electric	OW	EUR	320.00	299.30	194,263	Dec	30.3x	25.0x	21.1x	17.6%	9.4x	9.7x	9.0x	20.1x	17.0x	14.5x	22.1%	23.9%	24.9%	1.6%		
Siemens	SIEM.DE	Siemens	EW	EUR	276.00	289.95	251,364	Sep	27.2x	21.8x	18.7x	19.2%	3.5x	3.3x	3.1x	18.3x	15.1x	13.1x	13.2%	15.1%	17.7%	2.0%		
Siemens Energy	ENR1.DE	Siemens Energy	OW	EUR	200.00	191.16	147,825	Sep	36.3x	24.8x	18.2x	39.9%	13.2x	11.1x	8.9x	15.5x	11.4x	8.5x	35.9%	48.8%	54.6%	1.4%		
Average	AMBL.S	Avg	EW	USD	108.79	91.86	183,439	Dec	31.8x	26.3x	22.2x	21.1%	10.2x	9.6x	8.7x	21.0x	17.2x	14.5x	34.4%	37.7%	39.5%	1.4%		
					Average		Avg	OW	EUR	208.79	191.86	147,825	Dec	31.8x	26.3x	22.2x	21.1%	10.2x	9.6x	8.7x	21.0x	17.2x	14.5x	1.4%

Source: Company data, FactSet, Morgan Stanley Research. E = Morgan Stanley Research estimates, FactSet estimates for Not Covered ("NC") stocks. For US/EU stocks, market data as of the market close on August 5, 2026

Fortune Electric (1519.TW): Powering the Future of AI; OW

Initiate at Overweight: We view Fortune Electric as a key beneficiary of the structurally undersupplied US transformer market. Given limited domestic capacity additions, we expect supply constraints to persist and continue supporting demand and pricing. Together with Taiwan's grid resilience plan, these factors should support a favorable order environment and robust earnings growth.

Technology leadership, certification, and US track record create high barriers to entry: Fortune is Taiwan's leading ultra-high-voltage transformer manufacturer and the only domestic supplier capable of producing 500kV transformers. Its nearly 30-year operating history in North American supports established customer relationships and continued market share gains in the US. In our view, most Taiwanese peers may require another 2-3 years to obtain comparable certifications and establish themselves as major supplier to US utilities.

Order visibility extends into 2029, with capacity expansion supporting fundamentals: As per management, Fortune's backlog exceeded NT\$20bn as of June 2026, with lead times of ~2.5-3 years and orders already extending into 2029. Compared with global peers' lead times of more than four years, Fortune's shorter delivery schedule, increasing export mix, and rising contractual liabilities suggest demand remains robust.

Valuation: Our price target of NT\$810 is derived from 33x 2027e P/E. This compares to its average P/E of 35x since its re-rating in mid-2023, its historical (since mid-2023) range of 11-57x, and Taiwan/global peers at 8-69x 2027e P/E. We believe 33x 2027e P/E is justified, given Fortune's higher exposure to transformer exports relative to other Taiwanese peers.

Key downside risks include: 1) slower capacity expansion in Taiwan due to labor constraints; 2) slower progress in power grid replacement and upgrade projects in the US/Taiwan; and 3) delays in providing sufficient power infrastructure to support planned data center developments.

Fortune Electric Co Ltd. (1519.TW, 1519 TT)

Taiwan Consumer and Industrials | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$810.00
Up/downside to price target (%)	22
Shr price, close (Aug 5, 2026)	NT\$663.00
52-Week Range	NT\$1,013.64-478.18
Sh out, dil, curr (mn)	316
Mkt cap, curr (mn)	NT\$209,429
EV, curr (mn)	NT\$205,728
Avg daily trading value (mn)	NT\$2,923

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	13.99	18.03	24.55	28.46
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	13.87	20.72	26.78	32.30
Revenue, net (NT\$ mn)	24,423	28,330	33,648	37,993
EBITDA (NT\$ mn)	5,584	7,279	9,589	11,157
ModelWare net inc (NT\$ mn)	4,419	5,696	7,754	8,989
P/E	54.7	36.8	27.0	23.3
P/BV	22.2	23.2	17.4	13.4
RNOA (%)	63.3	78.9	95.9	77.1
ROE (%)	50.3	52.4	86.0	74.8
EV/EBITDA	42.6	28.6	21.8	18.6
Div yld (%)	1.1	2.0	2.3	2.6
FCF yld ratio (%)**	2.3	1.4	2.0	3.0
Leverage (EOP) (%)	(37.1)	(33.9)	(20.3)	(21.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Fortune Electric: Financial Summary

Exhibit 30: Consolidated Financials: Fortune Electric

Income Statements							Cash Flow Statements						
NT\$ mn	2023	2024	2025	2026E	2027E	2028E	NT\$ mn	2023	2024	2025	2026E	2027E	2028E
Net Sales	13,900	20,203	24,423	28,330	33,648	37,993	Cashflow from Operations	4,281	3,445	5,962	3,693	4,527	6,657
COGS	(9,566)	(12,818)	(14,538)	(15,867)	(18,586)	(20,899)	Net profits	2,577	4,286	4,419	5,696	7,754	8,989
Gross Profit	4,334	7,385	9,885	12,463	15,062	17,094	Depreciation & Amortization	172	228	358	459	462	446
Operating Exp.	(1,480)	(2,494)	(4,658)	(5,643)	(5,935)	(6,384)	Inv. Gain/Loss (Equity)	1	0	1	1	-	-
Operating Exp.-Promotion	(801)	(1,433)	(3,259)	(3,921)	(4,127)	(4,403)	Disposal of Investment	-	-	-	-	-	-
Operating Exp.-ADM	(465)	(731)	(1,002)	(1,214)	(1,282)	(1,401)	Working Capital Change	(368)	(2,505)	(2,367)	(3,308)	(3,689)	(2,777)
Operating Exp.-R&D	(214)	(330)	(398)	(508)	(526)	(579)	Dec(Inc)-A/R	(327)	(1,341)	(772)	(1,713)	(1,888)	(1,403)
Operating income	2,854	4,891	5,227	6,820	9,128	10,711	Dec(Inc)-Inventory	(1,237)	(2,156)	(736)	(2,700)	(3,091)	(2,361)
Total non-operating Inc.	218	549	382	427	665	615	Inc(Dec)-A/P	1,195	993	(858)	1,105	1,291	986
Net Interest Inc.	(22)	32	68	61	61	61	Other adjustments	1,899	1,436	3,550	845	-	-
Net Investment Inc.	(1)	(0)	(1)	(1)	-	-	Cashflow from Investing	(184)	(644)	(1,901)	(668)	(400)	(400)
Disposal of Investment	-	-	-	-	-	-	(Purchases) Sale of fixed asset / (capex)	(146)	(438)	(1,246)	(400)	(400)	(400)
Disposal of Fixed Asset	(0)	28	0	-	-	-	(Purchases) Sale of LT investment	(1)	(199)	(1)	(15)	-	-
Exchange Gain (Loss)	27	173	(121)	393	-	-	(Purchases) Sale of ST investment	-	(63)	(101)	(28)	-	-
Others Income (Loss)	215	316	435	(26)	604	554	Other adjustments	(37)	55	(553)	(225)	-	-
Pre-tax Income	3,072	5,439	5,609	7,248	9,793	11,326	Cashflow from financing	(2,946)	(2,071)	(1,731)	(4,549)	(4,738)	(5,370)
Income Tax	(510)	(1,168)	(1,242)	(1,556)	(2,039)	(2,337)	Increase in L-T debt	(1,262)	(250)	554	(554)	-	-
Net Income before MI	2,562	4,271	4,367	5,692	7,754	8,989	Increase in S-T debt	(876)	15	165	136	-	-
Extraordinary gain (losses)	(15)	(15)	(52)	(5)	-	-	Cash Dividend Paid	(653)	(1,566)	(2,584)	(4,106)	(4,738)	(5,370)
Net Income	2,577	4,286	4,419	5,696	7,754	8,989	Dir& Emp Bonus Paid	-	-	-	-	-	-
Adj.wtd.avg.shrs (m)	261	287	316	316	316	316	Issuance of stock	-	-	-	-	-	-
EPS (NT\$)	9.87	14.93	13.99	18.03	24.55	28.46	Other adjustments	-	-	-	-	-	-
							Exchange rate adjustment	(10)	14	(15)	8	-	-
							Net change in cash	1,142	743	2,315	(1,516)	(611)	888
Balance Sheets							Financial Ratios						
NT\$ mn	2023	2024	2025	2026E	2027E	2028E	NT\$ mn	2023	2024	2025	2026E	2027E	2028E
Cash	1,737	2,481	4,796	3,366	2,754	3,642	Growth%						
Mkt Securities	0	0	0	28	28	28	Turnover	79.3	45.3	20.9	16.0	18.8	12.9
AR/NR (reported)	2,469	3,810	4,582	6,295	8,184	9,586	Gross Profit	173.0	70.4	33.9	26.1	20.9	13.5
Inventories	5,441	7,598	8,333	11,034	14,125	16,485	Operating Profit	564.8	71.4	6.9	30.5	33.8	17.3
Others	2,919	4,249	3,830	4,072	4,072	4,072	Net Profit	207.5	66.3	3.1	28.9	36.1	15.9
Current Assets	12,567	18,138	21,541	24,794	29,162	33,813	Margins (%)						
Long-term Investments	2	2	2	1	1	1	EBITDA	23.5	27.9	24.2	27.0	30.3	30.8
Fixed Assets	2,081	2,283	3,222	3,170	3,108	3,062	EBIT	22.3	26.8	22.7	25.4	28.9	29.6
Other Assets	597	1,446	3,446	3,659	3,659	3,659	Gross Profit	31.2	36.6	40.5	44.0	44.8	45.0
Total Assets	15,247	21,869	28,211	31,624	35,931	40,535	Operating Profit	20.5	24.2	21.4	24.1	27.1	28.2
S-t Borrowings	20	35	200	336	336	336	Net Profit	18.5	21.2	18.1	20.1	23.0	23.7
AP/NP	3,343	4,350	3,480	4,607	5,898	6,884	Return (%)						
Other ST liabilities	5,414	6,759	9,334	12,079	12,079	12,079	ROA	16.9	19.6	15.7	18.0	21.6	22.2
Total Current Liabilities	8,777	11,144	13,014	17,022	18,313	19,298	ROE	49.4	57.4	0.0	0.0	0.0	0.0
L-t Debt	100	0	554	0	0	0	Gearing (%)						
Other Liabilities	237	1,952	3,823	5,595	5,595	5,595	Net Debt/Assets	-26.4	-27.9	-37.4	-33.6	-20.1	-21.1
Total Liabilities	9,114	13,096	17,391	22,617	23,908	24,894	Total Liabilities/Total Equity	148.6	149.3	160.7	251.1	198.9	159.2
Common Shares	2,611	2,872	3,159	3,159	3,159	3,159	Payout Ratio (%)	60.8	60.3	78.6	72.1	61.1	59.7
Other Shareholders' Equity	3,522	5,902	7,661	5,849	8,864	12,483	A/R Turnover (days)	61	57	63	70	79	85
Total Equity	6,133	8,774	10,820	9,007	12,023	15,641	A/P Turnover (days)	105	110	98	93	103	112
Total Liab./Shrhldr's Equity	15,247	21,869	28,211	31,624	35,931	40,535	Inventory Turnover (days)	184	186	200	223	247	267
							Cash conversion (days)	140	133	164	200	222	241

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Risk Reward – Fortune Electric Co Ltd. (1519.TW)

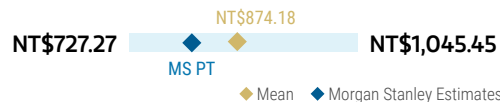
Powering the future of AI

PRICE TARGET NT\$810.00

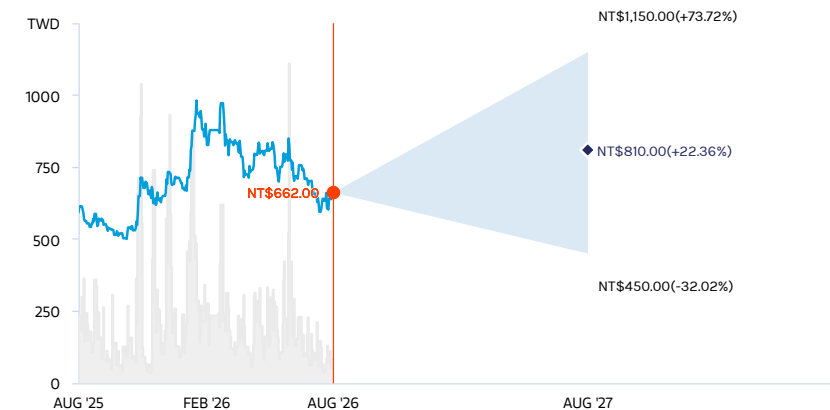
Base case, derived from 33x 2027e P/E. This compares with Fortune's average P/E of 35x since its re-rating in mid-2023, its historical range of 11-57x since mid-2023, and Taiwan/global at 8-69x 2027e P/E (based on MS estimates). We believe 33x 2027e P/E is justified, given Fortune's higher exposure to transformer exports relative to other Taiwanese peers.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



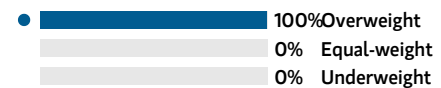
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Fortune is a key beneficiary of the transformer shortage in the US. It has the highest transformer export contribution among Taiwanese peers. Its leading position in HV transformers and highest export contribution drive NPM.
- Order visibility extends to 2029, with lead time of 2.5-3 years.
- As it is a pure-play transformer manufacturer with high US export contribution, the stock, in our view, deserves a P/E multiple (33x) within the range of Taiwanese/global peers' ~8-69x 2027e P/E.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

Renewable Energy: *Positive*

Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE NT\$1,150.00

45x bull case 2027e EPS

We assume Fortune's respective transformer and export sales contributions rise above 85% and 70% in 2026-28, driving a strong earnings CAGR of >38% over 2025-28e. This will be supported by increased government subsidies aimed at reinforcing and scaling Taiwan's power grid and further market share expansion in the US, Europe, and ASEAN.

BASE CASE NT\$810.00

33x base case 2027e EPS

We expect Fortune's transformer and export sales contributions of 65-75% and 60-65% in 2026-28 to drive an earnings CAGR of 27% over 2025-28e, supported by a structural and multi-year power equipment upcycle, with lead time of 2.5-3 years, order visibilities extending to 2029, and shortage of transformers to last at least until 2029.

BEAR CASE NT\$450.00

20x bear case 2027e EPS

We assume Fortune's transformer and export sales growth decelerates, owing to domestic labor constraints, limiting the company's ability to fulfill orders and capture overseas demand. End-market orders pull-in sees a slowdown.

Risk Reward – Fortune Electric Co Ltd. (1519.TW)

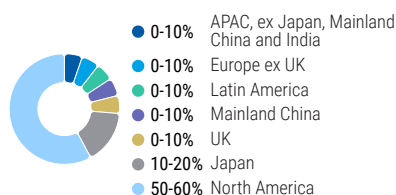
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Transformer Volume Growth (%)	0.0	0.0	0.0	9.0
Transformer ASP Growth (%)	10.0	7.0	6.4	5.4
GPM (%)	40.5	44.0	44.8	45.0
OPM (%)	21.4	24.1	27.1	28.2

INVESTMENT DRIVERS

- Acceleration of power grid replacement in Taiwan and the US
- Export proportion of total sales
- Market leadership in high-voltage transformers

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

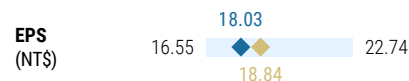
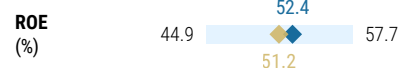
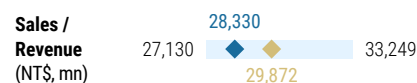
- Faster-than-expected US capacity expansion, which could accelerate export growth
- Persistent transformer shortages, which would lift ASP and margins

RISKS TO DOWNSIDE

- Slower-than-expected capacity expansion in Taiwan due to labor constraints
- Slower progress in power grid replacement and upgrade projects in the US/Taiwan
- Delays in providing sufficient power infrastructure to support planned data center developments

MS ESTIMATES VS. CONSENSUS

FY 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Fortune Electric: Investment Positives and Concerns

Investment Positives

US transformer shortage provides a structural export opportunity

The US transformer market remains structurally undersupplied, creating a multi-year opportunity for qualified overseas suppliers such as Fortune. Due to the historically long product cycle and limited growth in the power equipment industry, many US domestic players have exited the market or consolidated. As a result, around 80% of US power transformers were sourced from imports in 2025, while only 20% came from domestic manufacturers, according to [Wood Mackenzie](#).

Given persistent U.S. workforce constraints, extended transformer procurement lead times, and delays in expanding transmission and equipment manufacturing capacity, we expect supply conditions to remain tight through 2028. We also note that US power companies have approached Taiwanese manufacturers regarding potential US capacity expansion. Together with Taipower's NT\$564.5bn grid resilience construction plan, this should support a strong order environment for Taiwan's power equipment supply chain, with Fortune likely to be one of the primary beneficiaries, in our view.

Fortune's technology leadership in Taiwan and established US track record, create high barriers to entry

Fortune has a leading position in Taiwan's ultra-high-voltage transformer market, supported by technology accumulated through its former Hitachi Fortune Transformer joint venture in 2013, which it later made a wholly owned subsidiary in 2019. The company is the only manufacturer in Taiwan capable of producing 500kV ultra-high-voltage transformers, and it has built a long operating track record in the North American market for nearly 30 years.

We believe Fortune's competitive advantage is supported by three factors: advanced high-voltage transformer technology, stringent international certification, and long-standing US customer relationships. The company has submitted 67kV, 230kV, and 500kV transformers for KEMA certification, a world renowned certification organization, and completed demanding short-circuit testing.

The company's successful completion of multiple factory audits by US customers has deepened client relationships, reinforced its competitiveness, and supported US market share gains. In contrast, most Taiwan peers likely need another 2-3 years to secure the required certifications and become major vendors of the US power companies.

Strong backlog, capacity expansion, longer order visibility, higher export mix vs peers and shorter lead time vs global peers to support higher ASP and robust earnings growth

Fortune's order visibility has extended to 2029, with backlog exceeding NT\$20bn as of June 2026 and lead time extending to 2.5-3 years (previously two years) vs global peers' 4+ years. We've observed the sequential growth of its contractual liabilities ([Exhibit 31](#)), i.e., the deposits that the company receives for export orders where it has not yet

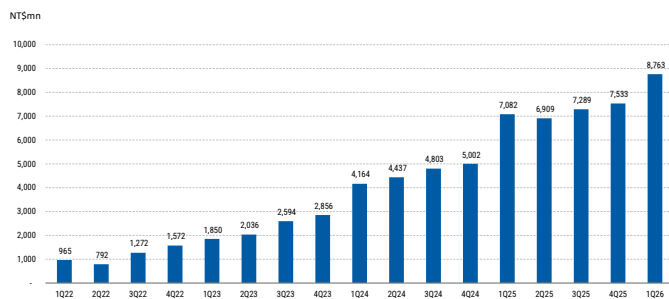
completed the shipments, signalling the positive order outlook. The company has also started to take orders for 2029-30, which we view as a strong indicator of durable demand.

On the supply side, Fortune is expanding capacity through equipment additions, intelligent storage, three-shift and weekend-shift production, and new capacity. We believe this positions Fortune to capture structural growth opportunities.

Fortune's higher export mix vs peers ([Exhibit 32](#)) suggests that the company is better positioned to capture overseas orders, reflecting a larger TAM and higher ASP potential.

In terms of lead-time perspective, the company appears better positioned versus global peers, with a shorter production lead time of ~2.5-3 years compared with over four years for global competitors, enabling it to respond more quickly to customer orders. In our view, barriers to entry remain high given the capital- and technology-intensive nature of the power equipment industry, as well as the long operating track record required to build customer trust and secure product adoption. Therefore, we believe it would be difficult for new competitors to enter the market or for competition to intensify significantly in the near term.

Exhibit 31: Fortune's contractual liabilities trend



Source: Company data.

Exhibit 32: Higher mix vs. peers as of FY2025

Company	Revenue (US\$m)	Electricity Equipment (US\$m)	Electric Equipment Revenue (%)	Europe Revenue (%)	North America Revenue (%)
Fortune Electric*	793	662	83%	0%	0%
Changshu Electric	880	709	80%	0%	1%
China Electric	1,152	863	75%	NA in terms of annual report	NA in terms of annual report
Alfa Electric	539	222	41%	NA in terms of annual report	NA in terms of annual report
ABB	2,899	1,964	68%	10%	42%
ABB	3,409	2,724	79%	NA in terms of annual report	NA in terms of annual report
ABB	39,111	6,169	16%	13%	14%
Mitsubishi Electric*	70,243	11,237	16%	34%	28%
Hitachi**	38,052	5,640	15%	20%	54%
Hitachi**	27,448	30,061	110%	19%	62%
Hitachi**	46,741	35,143	75%	22%	42%
Hitachi**	34,146	18,060	53%	84%	17%
Hitachi**	45,490	11,190	25%	13%	11%

Source: Company data, Morgan Stanley Research. *For certain companies, revenue from specific categories is aggregated and classified as electrical equipment revenue. If you have any questions, please consult the team. **Regional sales breakdown is in terms of Electric Equipment Revenue. Note: Company's regional revenue is based on its own classification

Investment Concerns

Valuation correction risk across AI-related power infrastructure stocks: Given the stock's significant re-rating since mid-2023 and its sensitivity to AI-related sentiment, Fortune Electric is vulnerable to a de-rating if market expectations for AI-related power infrastructure normalize. The market appears to be pricing in sustained transformer scarcity, strong US data-center demand, and smooth capacity expansion. Any indication of slower AI capex growth or order deferral could trigger a valuation correction despite still-positive long-term fundamentals.

US market concentration, delays in AI data-center infrastructure, and slower-than-expected grid investment risk: The company's growth is increasingly concentrated in US AI data-center and power-infrastructure demand. While these are key growth drivers and structurally support transformer demand, such a setup increases sensitivity to a single market, cloud capex, and the pace of US grid development. Any slowdown in US data center construction and cloud capex could lead to delayed shipment. In addition, AI data center deployment depends heavily on prerequisites such as land acquisition, permitting, grid interconnection, generation capacity, and community support, while US grid

investment and large-load interconnection still face execution risks from fragmented federal-state authority, cost-allocation disputes, permitting delays, and local opposition. Slower-than-expected progress could weigh on near-term revenue conversion and order momentum.

Tariff and trade-policy, FX volatility or other macro-related risk: Given Fortune's revenue is export-driven and US-focused, changes in trade-policy or FX could affect pricing, competitiveness, and margin. Even if current tariff arrangements are manageable, future changes could alter customer procurement preferences or pressure margins.

Fortune Electric: Earnings Forecasts

Exhibit 33: Fortune: Earnings forecasts

Earnings Forecasts (NT\$ mn)	2026E	2027E	2028E
Net sales	28,330	33,648	37,993
Gross profit	12,463	15,062	17,094
Operating profit	6,820	9,128	10,711
Pretax profit	7,248	9,793	11,326
Net profit	5,696	7,754	8,989
EPS (NT\$)	18.03	24.55	28.46
Key ratios (%)			
Gross margin	44.0%	44.8%	45.0%
Operating margin	24.1%	27.1%	28.2%
Pretax margin	25.6%	29.1%	29.8%
Net profit margin	20.1%	23.0%	23.7%

Source: Morgan Stanley Research (E) estimates.

We forecast Fortune's sales to be NT\$28.3bn in 2026, before increasing to 18.8% YoY to NT\$33.6bn in 2027e and 12.9% YoY to NT\$38.0bn in 2028e. We expect growth to be driven by the conversion of its NT\$20bn+ backlog, continued growth in US transformer exports, and ongoing capacity expansion. In addition, order visibility extending to 2029 supports medium-term shipments and earnings visibility.

We expect earnings growth to outpace revenue growth, driven by a greater contribution from higher-ASP export orders and improved utilization, which should support operating leverage. We forecast gross margin to expand from 44.0% in 2026e to 44.8% in 2027e and 45.0% in 2028e, while operating margin increases from 24.1% to 27.1% and 28.2%, respectively, supported by Fortune's operating leverage.

As a result, we forecast net profit to increase 36.1% YoY to NT\$7.8bn in 2027e and 15.9% YoY to NT\$9.0bn in 2028e, with EPS rising from NT\$18.03 in 2026e to NT\$24.55 and NT\$28.46, respectively.

Fortune Electric: Valuation Methodology

Our price target of NT\$810 is derived from 33x 2027e P/E, implying 1.2x PEG on 27% net income CAGR over 2025-28e. Our target P/E multiple compares with Fortune's average P/E of 35x since its re-rating in mid-2023, its historical (since mid-2023) range of 11-57x, and Taiwan/global peers at 8-69x 2027e P/E (based on MS estimates). We believe 33x 2027e P/E is justified, given Fortune's higher exposure to transformer exports relative to other Taiwanese peers.

Base case value of NT\$810: We expect Fortune's transformer and export sales contributions of 65-75% and 60-65% in 2026-28 to drive an earnings CAGR of 27% over 2025-28e, supported by a structural and multi-year power equipment upcycle, with lead time of 2.5-3 years, order visibilities extending to 2029, and shortage of transformers to last at least until 2029.

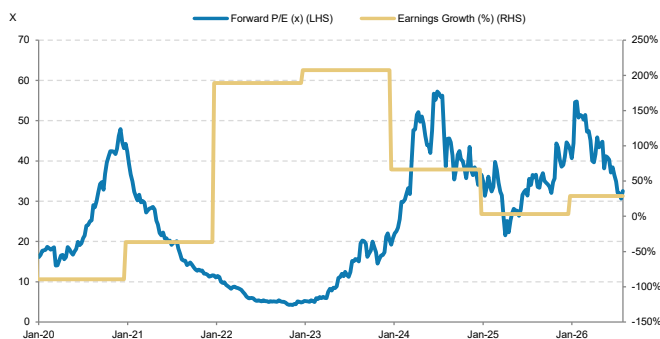
Bull case value of NT\$1,150: We assume Fortune's respective transformer and export sales contributions rise above 85% and 70% in 2026-28, driving a strong earnings CAGR of >38% over 2025-28e. This will be supported by increased government subsidies aimed at reinforcing and scaling Taiwan's power grid and further market share expansion in the US, Europe, and ASEAN.

Bear case value of NT\$450: We assume Fortune's transformer and export sales growth decelerates, owing to domestic labor constraints, limiting the company's ability to fulfill orders and capture overseas demand. End-market orders pull-in sees a slowdown.

Key downside risks to our price target/rating include:

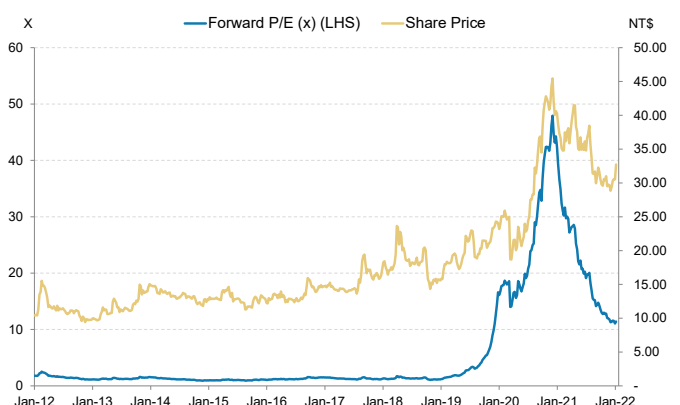
- Slower-than-expected capacity expansion in Taiwan due to labor constraints
- Slower progress in power grid replacement and upgrade projects in the US/Taiwan
- Delays in providing sufficient power infrastructure to support planned data center developments

Exhibit 34: Fortune: Forward P/E



Source: FactSet, Morgan Stanley Research estimates.

Exhibit 35: Fortune: Share price vs TAIEX



Source: FactSet, Morgan Stanley Research.

Fortune Electric: Company Overview

Founded in 1969, Fortune Electric is Taiwan's largest domestic transformer provider, with leading capabilities across transformers, distribution board, and substation equipment. Driven by global energy transition, grid modernization plan, Taipower grid resilience demand, and AIDC power requirements, the company's AIDC-related backlog has exceeded NT\$20 billion, with order visibilities extending through 2029. The company expects 2026 AIDC-related shipment of NT\$4.5-5bn, accounting for more than 15% mix.

Business Segments

Transformers: FE is Taiwan's only qualified domestic manufacturer capable of producing heavy-duty 500kV transformers, which are mainly for export orders. Supported by global grid modernization and AIDC demand, both transformer ASPs and shipment volumes have increased meaningfully since 2023. FE's transformers accounted for c.60% of Taiwan's domestic transformer production value and c.90% of export value per FE's 2025 annual report, contributing 74% of total revenue in 2025.

Distribution board: Distribution boards are used for distributing electricity from a main supply to multiple circuits while providing protection, control, surveillance and isolation for devices, with key applications including switch boxes, electrical panels, control panels, and power distribution cabinets. FE's distribution boards accounted for c.30% of Taiwan's domestic production value and c.70% of export value per FE's 2025 annual report, contributing 7% of total revenue in 2025.

Construction: This segment engages in turnkey projects for Taipower, industrial customers, and the government, among others.

Devices for power distribution: The segment manufactures switching devices used in transmission and distribution systems for power distribution, circuit switching, load management, and equipment protection.

Production Allocation

Zhongli Plant (Taiwan)

- Focus on low-voltage (below 33kV) distribution transformers
- Mainly for Taipower and export of low-voltage batch orders
- Green energy distribution transformers

Guanyin Plant 2 (Taiwan)

- Focus on manufacturing large-voltage (161kV–345kV) transformers for domestic and export orders
- Green energy and smaller-size turnkey construction

Guanyin Plant 3A (Taiwan)

- Manufacture switches for Taipower bulk procurement at 3A plant
- Manufacture distribution boards

- Green energy and power generation construction projects
- Manufacture green energy PV Boxes

Guanyin Plant 3B (Taiwan)

- The new capacity 3B plant started production in January 2026, focusing on medium-voltage (33kV-235kV) transformers

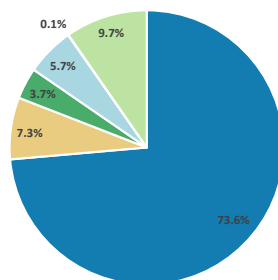
Taichung Plant (Taiwan)

- Focus on manufacturing ultra-high-voltage transformers (345kV–500kV and above), the largest power transformer production base in Southeast Asia, mainly for export
- Taiwan's only plant capable of producing above-500kV transformers
- Located near Taichung Port, with strong heavy-cargo logistics advantage
Thanks to its proximity to Taichung Port, the transportation advantage significantly reduces operational costs, saving NT\$15-25mn per shipment. The company also has increased its leased land from 4 hectares to 5 hectares at the Taichung Plant.
- Obtained 100% ownership from Hitachi in April 2019

Export sales: FE focuses on North America as its main engine for export growth, supported by grid modernization demand, AIDC boom, and the ongoing energy transition trend. It actively looks for overseas electricity companies and international turnkey engineering companies to expand its revenue pipeline. The company gradually penetrated the US core electric companies after 2008, and it has passed the testing and certification from its customers. FE has been deeply engaged in the North American market and become one of the core suppliers to key electric power companies across 17 states in the US. FE is also one of the designated transformer suppliers of the first phase of the Stargate AI project.

Exhibit 36: Sales contribution, by division (2025)

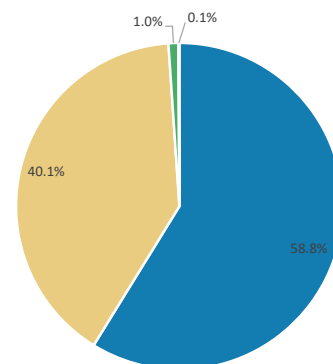
■ Transformer ■ Distribution Board ■ Devices for distribution ■ Construction ■ Electricity Sales ■ Others



Source: Company data, Morgan Stanley Research.

Exhibit 37: Revenue breakdown, by region (2025)

■ US ■ Taiwan ■ Asia ■ Others



Source: Company data, Morgan Stanley Research.

Exhibit 38:
Factory Locations



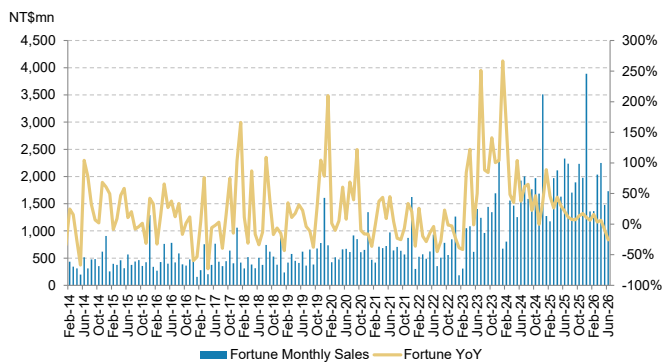
Source: Company data.

Exhibit 39: Fortune: New factory expansion plan



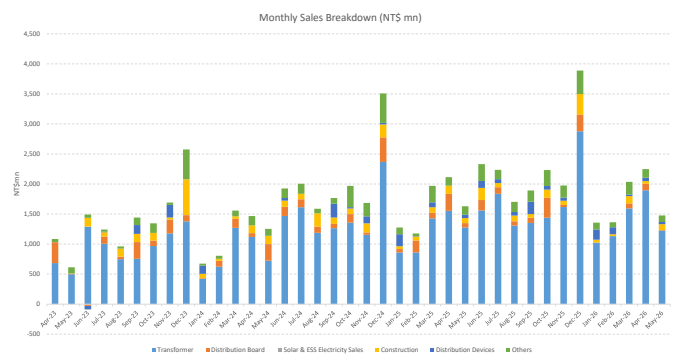
Source: Company data.

Exhibit 40: Fortune: Monthly sales



Source: TEJ.

Exhibit 41: Fortune: Monthly sales breakdown



Source: Company data.

Company Milestones

Exhibit 42: Company Milestones

Time	Company Milestones
1969	Fortune Electric was founded in Tu Cheng, Taiwan, manufacturing distribution transformers
1980	Completed the construction of the Chung Li Plant (Phase I & II). Started manufacturing various types of transformers and electric panels
1980	Licensed with McGraw-Edison Company to produce power transformers up to 230 kV, 120 MVA
1980	Qualified as a Class A manufacturer of 69 kV power transformers, 24 kV and 15 kV distribution transformers and switchgears by IDB
1984	Completed the Phase III, IV and V factory expansion project of Chung Li Plant
1986	Completed Phase VI factory expansion project of Chung Li Plant
1986	Licensed with Takaoka Electric Manufacturing Ltd. to produce 69 kV and 161 kV Air Break Switch (ABS) and purchased manufacturing and testing equipment for 161 kV power transformer
1986	Partnered with Meidensha Corporation to introduce MCSG and VCB products to supply to the domestic market
1990	Formed a technical partnership with Hitachi in 1990 to manufacture 345kV transformers
1991	Completed the 7th and 8th stage of expansion project of Chung Li plant; enhance production workflow and product lines to optimize production output
1992	Purchased and constructed Kuan Yi Plant and increased capital to NT\$400mn to expand manufacturing capacity
1994	Completed construction of Guan Yin Plant, launched the manufacturing of up to 500 MVA 345 kV power transformers and successfully delivered these products to customer by end of year.
1995	Licensed with AlliedSignal Inc., U.S.A., to produce Amorphous Metal Core Transformer
1997	Listed on Taiwan Stock Exchange under ticker of 1519.TW in 1997
2000	Developed High Pressure GIS successfully; qualified for Tai Power standardization test and started production
2010	Exported the 1st 345kV 450MVA extra-large transformer and established Research & Development (R&D) center
2013	Set up Fortune Electric America Inc. in California to expand export business
2013	Established "Hitachi Fortune Transformer, Inc." jointly with Hitachi of Japan, with 40% shareholding. Built up factory in Taichung Harbor, manufacturing 200MVA above or 500kV super high voltage transformer, and marched into international market together
2015	Taichung plant launched, being the only factory manufacturing 500kV ultra-high level transformer with all products manufactured for export only
2019	Joint Venture contract, between Hitachi Japan and Hitachi Fortune Transformer Co., Ltd., has ended. Hitachi Japan transferred equity stock shareholding and Fortune now owned 100% shareholding
2022	Acquired the first 500kV 450MVA extra-high voltage transformer in South Asia, moving toward international extra-high voltage power plant.

Source: Company data.

Company Shareholding Structure and Management Holdings

Fortune Electric was founded in 1969 and went public in 1997. As of April 2026, Fortune Electric's founders, the Hsu family, owned over 49% of the company.

Fortune Electric's board consists of one chairman, one vice chairman, four directors, and four independent directors. Ownership is highly concentrated, with the founding Hsu family occupying five of the ten board seats as of April 15, 2026.

Exhibit 43: Fortune: Key management holdings

As of 2026/4/14

Share Holder Name	Title	# of shares	Holding %
Hsu, Bang-Fu	Chairman	12,776,301	4.04%
Hsu, Shou-Hsiung	Vice Chairman	27,350,136	8.66%
Hsu, I-Cheun	Director	1,280,049	0.41%
Hsu, I-Te	Director	2,363,070	0.75%
Hsu, I-Sheng	Director	3,930,648	1.24%
Weng, Jen-Pei	Director	830,075	0.26%
Hu, Len-Kuo	Independent Director	0	0.00%
Lei, Whey-Min	Independent Director	0	0.00%
Liao, Chih-Hsiang	Independent Director	0	0.00%
Yeh, Yun-Ching	Independent Director	0	0.00%

Source: Company data.

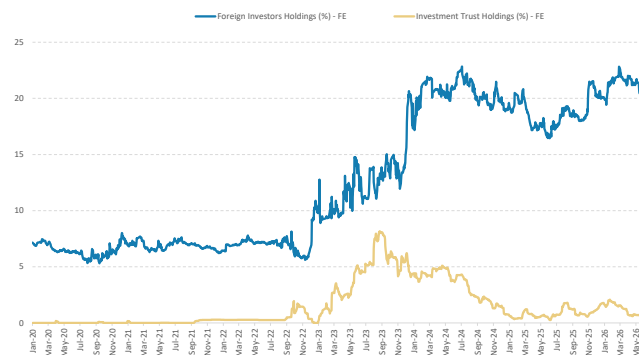
Exhibit 45: Fortune: Top 10 shareholding structure

As of 2026/4/14

	# of Shares	Holding %
Hua Cheng Investment Corp.	29,137,931	9.22%
Hsu, Shou-Hsiung	27,350,136	8.66%
Chun Sheng Fa Corp.	13,918,300	4.41%
Hsu, Bang-Fu	12,776,301	4.04%
Hsu, Mei-Fang	11,167,600	3.54%
Huang, Hsiou-Chin	10,910,610	3.45%
Hsu, Chung-Ming	10,254,358	3.25%
Kuan, Eiao-Chan	9,917,022	3.14%
Hsu, I-Lun	7,728,177	2.45%
Hsu, I-Yun	7,353,847	2.33%

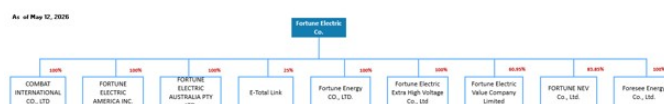
Source: Company data.

Exhibit 44: Fortune: Institutional holdings



Source: TEJ.

Exhibit 46: Fortune: Company structure



Source: Company data.

Chung-Hsin Electric & Machinery (1513.TW): Powering Taiwan's Grid at a Moderate Pace; EW

Initiate as Equal-weight: We view Chung-Hsin Electric as a key beneficiary of Taipower's grid-strengthening program, supported by a backlog of nearly NT\$40bn and order visibility through 2031. However, labor shortages, approval delays, and slow project execution may defer revenue recognition. In addition, contributions from TSMC-related projects and overseas sales are likely to ramp gradually, which may limit near-term earnings growth.

Leading position in Taiwan's GIS market: Based on the company's annual report, Chung-Hsin Electric has a 70% share of Taiwan's GIS equipment market at 69kV and above. It is the only qualified domestic supplier of 345kV GIS. Its broad product portfolio, ~90% localization rate, sizable installed base, and differentiated after-sales service capabilities create high barriers to entry, positioning the company well as Taipower continues to advance its grid upgrade program.

Valuation: Our price target of NT\$168 is derived from 17x 2027e P/E. This compares to its average P/E of 20x since its re-rating in October 2022, its historical (since Oct-22) range of 14-30x and Taiwan/US peers' P/E of 8-69x 2027e P/E. We believe 17x 2027e P/E is justified, reflecting Chung-Hsin Electric's leading position in Taipower's grid resilience program and the high technological barriers to entry of 345kV GIS equipment in Taiwan. These advantages should support stronger profitability over 2025-28.

Key upside risks include: 1) increased overseas revenue contribution in the near term; 2) additional government support in Taiwan to strengthen and expand electricity supply infrastructure for AI and data center development; and 3) stronger-than-expected revenue contribution from semiconductor customers.

Key downside risks include: 1) slower revenue growth due to labor shortages; 2) delays in Taipower's grid strengthening program; and 3) operational incidents that disrupt production and reduce utilization rates.

Chung-Hsin Electric & Machinery Mfg (1513.TW, 1513 TT)

Taiwan Consumer and Industrials | Taiwan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	NT\$168.00
Up/downside to price target (%)	4
Shr price, close (Aug 5, 2026)	NT\$161.00
52-Week Range	NT\$201.00-142.50
Sh out, dil, curr (mn)	494
Mkt cap, curr (mn)	NT\$79,546
EV, curr (mn)	NT\$70,942
Avg daily trading value (mn)	NT\$1,215

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	8.07	8.82	9.88	11.13
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	8.00	8.88	10.58	11.80
Revenue, net (NT\$ mn)	27,449	28,928	30,448	32,275
EBITDA (NT\$ mn)	8,719	8,985	9,405	9,976
ModelWare net inc (NT \$ mn)	3,992	4,366	4,883	5,501
P/E	18.5	18.2	16.3	14.5
P/BV	3.5	3.6	3.5	3.3
RNOA (%)	22.2	36.3	47.7	67.7
ROE (%)	20.8	20.9	22.3	23.9
EV/EBITDA	7.5	7.6	6.9	6.2
Div yld (%)	3.1	4.2	4.8	5.4
FCF yld ratio (%)**	5.1	7.3	8.9	9.0
Leverage (EOP) (%)	(21.5)	(32.9)	(45.5)	(54.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Chung-Hsin Electric & Machinery: Financial Summary

Exhibit 47: Chung-Hsin Electric: Financial Summary

Income Statements							Cash Flow Statements						
NT\$ mn	2023	2024	2025	2026E	2027E	2028E	NT\$ mn	2023	2024	2025	2026E	2027E	2028E
Net Sales	22,145	25,609	27,449	28,928	30,448	32,275	Cashflow from Operations	7,213	3,955	11,876	7,361	7,454	7,546
COGS	(15,726)	(18,888)	(20,381)	(21,367)	(22,330)	(23,467)	Net profits	1,586	3,623	3,988	4,359	4,883	5,501
Gross Profit	6,419	6,721	7,068	7,561	8,118	8,807	Depreciation & Amortization	2,850	3,287	3,562	3,615	3,526	3,410
Operating Exp.	(2,032)	(2,184)	(2,091)	(2,191)	(2,239)	(2,241)	Inv. Gain/Loss (Equity)	-	-	-	-	-	-
Operating Exp.-Promotion	(448)	(521)	(516)	(491)	(505)	(483)	Disposal of Investment	(3)	(26)	(0)	-	-	-
Operating Exp.-ADM	(1,250)	(1,341)	(1,334)	(1,455)	(1,482)	(1,497)	Working Capital Change	(2,891)	(1,937)	520	(471)	(956)	(1,364)
Operating Exp.-R&D	(334)	(322)	(241)	(245)	(252)	(261)	Dec(Inc)-A/R	459	(789)	372	(112)	(257)	(366)
Operating income	4,386	4,537	4,977	5,369	5,879	6,566	Dec(Inc)-Inventory	(2,173)	(1,707)	1	(555)	(1,081)	(1,545)
Total non-operating Inc.	(1,990)	(76)	30	40	200	248	Inc(Dec)-A/P	(1,177)	559	147	197	383	547
Net Interest Inc.	(225)	(188)	(152)	(98)	(98)	(98)	Other adjustments	5,671	(992)	3,806	(142)	-	-
Net Investment Inc.	165	170	180	1	-	-	Cashflow from Investing	(3,285)	(432)	(1,136)	(701)	(400)	(400)
Disposal of Investment	3	26	0	(0)	-	-	(Purchases) Sale of fixed asset / (capex)	(1,694)	(688)	(426)	(400)	(400)	(400)
Disposal of Fixed Asset	(8)	(14)	(19)	1	-	-	(Purchases) Sale of LT investment	1	(186)	17	(10)	-	-
Exchange Gain (Loss)	(17)	(11)	(19)	(5)	-	-	(Purchases) Sale of ST investment	-	116	-	-	-	-
Others Income (Loss)	(1,908)	(61)	39	142	298	346	Other adjustments	(1,592)	326	(727)	(291)	-	-
Pre-tax Income	2,397	4,461	5,006	5,409	6,079	6,814	Cashflow from financing	(4,464)	(3,053)	(10,019)	(4,535)	(3,796)	(4,331)
Income Tax	(811)	(834)	(1,016)	(1,046)	(1,195)	(1,314)	Increase in L-T debt	(1,413)	(626)	(4,448)	(811)	-	-
Net Income before MI	1,585	3,627	3,990	4,363	4,883	5,501	Increase in S-T debt	112	1,596	(950)	8	-	-
Extraordinary gain (losses)	(0)	4	2	4	-	-	Cash Dividend Paid	(1,667)	(1,811)	(2,314)	(3,344)	(3,796)	(4,331)
Net Income	1,586	3,623	3,988	4,359	4,883	5,501	Dir& Emp Bonus Paid	-	-	-	-	-	-
Adj.wtd.avg.shrs (m)	489	494	494	494	494	494	Issuance of stock	-	-	-	-	-	-
EPS (NT\$)	3.25	7.33	8.07	8.82	9.88	11.13	Other adjustments	-	-	-	-	-	-
							Exchange rate adjustment	(5)	67	(4)	49	-	-
							Net change in cash	(540)	537	718	2,174	3,258	2,815
Balance Sheets							Financial Ratios						
NT\$ mn	2023	2024	2025	2026E	2027E	2028E	NT\$ mn	2023	2024	2025	2026E	2027E	2028E
Cash	2,203	2,741	3,458	5,577	8,835	11,650	Growth%						
Mkt Securities	257	263	141	155	155	155	Turnover	19.4	15.6	7.2	5.4	5.3	6.0
AR/NR (reported)	1,953	2,743	2,371	2,483	2,741	3,106	Gross Profit	35.3	4.7	5.2	7.0	7.4	8.5
Inventories	8,786	10,492	10,491	11,047	12,128	13,673	Operating Profit	53.9	3.4	9.7	7.9	9.5	11.7
Others	6,254	6,865	6,555	7,459	7,459	7,459	Net Profit	-34.9	128.5	10.1	9.3	12.0	12.6
Current Assets	19,454	23,104	23,017	26,721	31,318	36,044	Margins (%)						
Long-term Investments	3,293	4,676	4,448	4,276	4,276	4,276	EBITDA	24.7	31.0	31.8	31.5	31.9	32.0
Fixed Assets	14,446	13,893	12,560	9,933	6,807	3,797	EBIT	11.8	18.2	18.8	19.0	20.3	21.4
Other Assets	6,978	7,595	7,673	8,343	8,343	8,343	Gross Profit	29.0	26.2	25.7	26.1	26.7	27.3
Total Assets	44,171	49,268	47,699	49,273	50,744	52,460	Operating Profit	19.8	17.7	18.1	18.6	19.3	20.3
S-t Borrowings	535	2,131	1,181	1,189	1,189	1,189	Net Profit	7.2	14.1	14.5	15.1	16.0	17.0
AP/NP	2,708	3,569	3,714	3,910	4,293	4,840	Return (%)						
Other ST liabilities	12,192	11,045	16,003	16,806	16,806	16,806	ROA	3.6	7.4	8.4	8.8	9.6	10.5
Total Current Liabilities	15,435	16,745	20,898	21,905	22,288	22,835	ROE	10.8	20.6	0.0	0.0	0.0	0.0
L-t Debt	7,500	6,864	2,373	1,601	1,601	1,601	Gearing (%)						
Other Liabilities	5,285	6,414	3,542	3,832	3,832	3,832	Net Debt/Assets	36.6	32.5	0.5	-12.7	-26.3	-36.6
Total Liabilities	28,220	30,023	26,812	27,338	27,721	28,268	Total Liabilities/Total Equity	176.9	156.0	128.4	124.6	120.4	116.8
Common Shares	5,031	5,031	5,031	5,031	5,031	5,031	Payout Ratio (%)	110.9	62.7	74.3	75.3	76.3	77.3
Other Shareholders' Equity	10,919	14,214	15,855	16,904	17,992	19,161	A/R Turnover (days)	36	33	34	31	31	33
Total Equity	15,950	19,245	20,886	21,935	23,023	24,192	A/P Turnover (days)	77	61	65	65	67	71
Total Liab./Shrhldr's Equity	44,171	49,268	47,699	49,273	50,744	52,460	Inventory Turnover (days)	179	186	188	184	189	201
							Cash conversion (days)	138	159	157	149	154	163

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Risk Reward – Chung-Hsin Electric & Machinery Mfg (1513.TW)

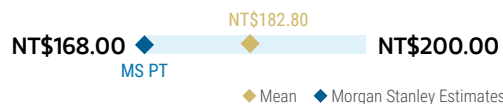
Powering Taiwan's Grid at a Moderate Pace

PRICE TARGET NT\$168.00

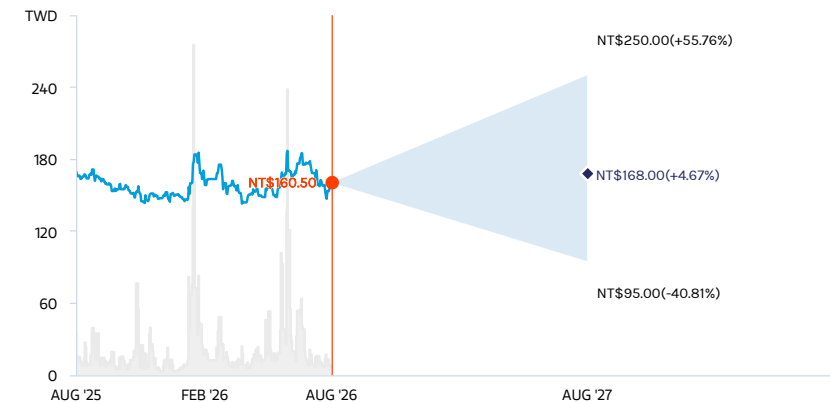
Base case, derived from 17x 2027 P/E, which we think is justified as it reflects Chung-Hsin Electric's leading position in Taipower's grid resilience program and the high technological barriers to entry of 345kV GIS systems in Taiwan. These advantages should support stronger profitability over 2025-28. It compares to Chung-Hsin Electric's average P/E of 20x since its re-rating in Oct-22 and its historical range of 14-30x since Oct-22.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

BULL CASE

NT\$250.00

20x bull case 2027e EPS

We assume CHEM's sales in 2026 and 2027 rise at a low-teens rate, driving a solid 2026-28 earnings CAGR above 20%, thanks to more subsidies from Taiwan's government to enhance and expand electricity supply, and thanks to more overseas orders.

BASE CASE

NT\$168.00

17x base case 2027e EPS

We expect CHEM's sales to rise 5% in each of 2026 and 2027, driving an 11% earnings CAGR, 2025-28. We expect steady revenue contribution from the Taipower power grid project.

BEAR CASE

NT\$95.00

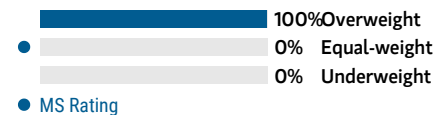
11x bear case 2027e EPS

We assume labor shortages delay the implementation of Taipower's grid resilience strengthening construction project.

EQUAL-WEIGHT THESIS

- Chung-Hsin Electric (per its annual report) has a 70% share of Taiwan's GIS equipment market at 69kV and above. It is the only qualified domestic supplier of 345kV GIS, positioning it well as Taipower continues to advance its grid upgrade program.
- Chung-Hsin Electric has an order backlog of nearly NT\$40bn and order visibility through 2031.
- However, we are EW relative to our coverage as labor shortages, approval delays, and slow project execution may defer revenue recognition.
- In addition, contributions from TSMC-related projects and overseas sales are likely to ramp gradually, which may limit near-term earnings growth.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Chung-Hsin Electric & Machinery Mfg (1513.TW)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Motor Energy Sales Growth (%)	5.1	5.4	12.0	12.3
Motor Energy GPM (%)	26.0	26.6	27.2	28.1
GPM (%)	25.7	26.1	26.7	27.3
OPM (%)	18.1	18.6	19.3	20.3

INVESTMENT DRIVERS

- Acceleration of power grid replacement in Taiwan
- Potential export proportion of total sales
- Market leadership in high-voltage GIS

GLOBAL REVENUE EXPOSURE



100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increased overseas revenue contribution near term
- Additional government support in Taiwan to strengthen and expand electricity supply infrastructure for AI and data center development
- Stronger revenue contribution from semi customers

RISKS TO DOWNSIDE

- Slower revenue growth due to labor shortages
- Delays in Taipower's grid strengthening program
- Operational incidents that disrupt production and reduce utilization rates

MS ESTIMATES VS. CONSENSUS

FY 2026e

Sales / Revenue (NT\$, mn) 28,928 ◆ 30,031 30,803

Net income (NT\$, mn) 4,213 ◆ 4,366 4,421 4,864

ROE (%) 19.3 ◆ 20.2 20.9 21.4

EPS (NT\$) 8.53 ◆ 8.82 8.88 9.67

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Chung-Hsin Electric & Machinery: Investment Positives and Concerns

Investment Positives

Beneficiary of Taiwan's grid upgrade cycle, with sufficient orders on hand and solid order visibility: We believe that Chung-Hsin Electric, Taiwan's largest supplier of GIS, is well positioned to benefit from Taipower's NT\$564.5bn grid-strengthening program through 2032. Orders on hand for Chung-Hsin Electric amount to nearly NT\$40bn as of June 2026, on the back of the continued advancement of Taipower's power grid resilience project and overseas orders with order visibility extending to 2031.

High barriers to entry to secure Chung-Hsin Electric's leading position in Taiwan's GIS market:

Chung-Hsin Electric is Taiwan's only qualified domestic manufacturer of 345kV GIS, reinforcing its leading position in the high-voltage electrical equipment market. Since establishing its technical collaboration with Hitachi, subsequently Japan AE Power Systems, in 1983, Chung-Hsin Electric has expanded its capabilities across GIS, gas-insulated combined switchgear (GCS) and gas circuit breakers (GCB). Chung-Hsin Electric has passed Taipower's localization assessment and obtained certification from CESI, a global leader in independent testing for the electricity sector, validating the successful transfer of core technology and a localization rate of ~90%. Competition is more pronounced in the 161kV and 69kV segments, where local suppliers such as Fortune Electric and Shinlin are also active. However, we believe Chung-Hsin Electric remains well positioned, supported by its comprehensive product lines in GIS equipment, established installed base and differentiated after-sales service capabilities. Moreover, the sophisticated testing facilities and technical expertise required for GIS production create higher entry barriers. We expect Chung-Hsin Electric, with a 70% share as of 2025, according to its annual report, of Taiwan's GIS equipment (69kV and above) market, to maintain its leading position in the industry.

Semiconductor customer qualification opens a meaningful new growth driver: In 2Q26, Chung-Hsin Electric secured supplier qualification from TSMC, initially for 161kV GIS equipment. We believe the product's near-term revenue contribution will be limited, as it was only recently qualified and requires a 6- to 12-month lead time from initial adoption to actual shipment. We expect Chung-Hsin Electric to gain share given its competitive pricing, localized supply and integrated engineering capabilities, with potential expansion into other GIS voltage products.

Investment Concerns

Impact of the Clouded Leopard armored vehicle project: Chung-Hsin Electric's Clouded Leopard armored vehicle project was investigated by Taiwan officials for using low-cost materials from China to assemble high-end products back in 2015. Although the company has already recognized a loss of NT\$2.09bn related to the issue in 2Q23, the incident may still affect funds' investment assessment of Chung-Hsin Electric.

Slower-than-expected Taipower project execution and budget approvals: The Taipower project is a key growth driver for Chung-Hsin Electric. However, delays in budget approvals or project execution relative to timelines could push out revenue recognition. In addition, labor shortages, complex approval procedures, and delays in renewable energy projects could further slow project implementation, weighing on the company's domestic growth outlook.

Limited overseas contribution in the near term: We expect Chung-Hsin Electric's overseas revenue contribution to remain limited in the near term, as market entry for domestic GIS players is constrained by country-specific transmission voltage standards and stringent testing/certification requirements. In the US, Chung-Hsin Electric core GIS equipment has limited addressable demand, as utilities typically adopt air-insulated switchgear (AIS), which carries lower production complexity and cost vs GIS. This preference is particularly evident in lower population-density regions, where greater land availability makes AIS a more cost-effective solution.

Chung-Hsin Electric & Machinery: Earnings Forecasts

Exhibit 48: Chung-Hsin Electric: Earnings forecasts

Earnings Forecasts (NT\$ mn)	2026E	2027E	2028E
Net sales	28,928	30,448	32,275
Gross profit	7,561	8,118	8,807
Operating profit	5,369	5,879	6,566
Pretax profit	5,409	6,079	6,814
Net profit	4,359	4,883	5,501
EPS (NT\$)	8.82	9.88	11.13
Key ratios (%)			
Gross margin	26.1%	26.7%	27.3%
Operating margin	18.6%	19.3%	20.3%
Pretax margin	18.7%	20.0%	21.1%
Net profit margin	15.1%	16.0%	17.0%

Source: Morgan Stanley Research estimates.

We forecast CHEM's net sales to reach NT\$28.9bn in 2026e, increasing 5.3% YoY to NT\$30.4bn in 2027e and a further 6.0% YoY to NT\$32.3bn in 2028e. We expect this moderate growth trajectory to reflect the gradual conversion of its order backlog, supported by Taipower's grid upgrade program, but partly offset by labor shortages, project approval delays, and limited near-term contributions from TSMC-related projects and overseas markets.

We expect earnings growth to outpace revenue growth as project execution improves and operating leverage increases. We forecast gross margin to expand from 26.1% in 2026e to 26.7% in 2027e and 27.3% in 2028e, while operating margin rises from 18.6% to 19.3% and 20.3%, respectively. A more favorable product mix and increasing deliveries of GIS equipment should provide additional support to profitability.

As a result, we forecast net profit to increase 12.0% YoY to NT\$4.9bn in 2027e and 12.7% YoY to NT\$5.5bn in 2028e, with EPS rising from NT\$8.82 in 2026e to NT\$9.88 and NT\$11.13, respectively. Our forecasts assume a gradual improvement in Taipower's project execution rather than a sharp acceleration. Continued project delays represent the key downside risk, while faster order conversion and a stronger-than-expected ramp in TSMC-related orders could provide upside to our estimates.

Chung-Hsin Electric & Machinery: Valuation Methodology

We derive our price target of NT\$168 for Chung-Hsin Electric by applying a 17x 2027e P/E, with an 11% earnings CAGR over 2025-28e, implying 1.54x PEG, representing a 40% P/E discount to its share price peak on July 15, 2024, with a 28.3x 2025 P/E and 17% earnings CAGR, 2022-25, implying 1.66x PEG.

Our target P/E multiple compares with Chung-Hsin Electric's 20x average P/E since its re-rating in October 2022, its 14-30x historical (since Oct 2022) range and 8-69x 2027e P/E of Taiwan/global peers (based on MS estimates). We believe 17x 2027e P/E is justified, as it reflects Chung-Hsin Electric's leading position in Taipower's grid resilience program and the high technological barriers to entry of 345kV GIS equipment in Taiwan. These advantages should support stronger profitability over 2025-28.

Base case value of NT\$168: We expect Chung-Hsin Electric's sales to rise 5% in each of 2026 and 2027, driving an 11% earnings CAGR, 2025-28. We expect steady revenue contribution from the Taipower power grid project.

Bull case value of NT\$250: We assume Chung-Hsin Electric's sales in 2026 and 2027 rise at a low-teens rate, driving a solid 2026-28 earnings CAGR above 25%, thanks to more subsidies from Taiwan's government to enhance and expand electricity supply, and thanks to more overseas orders.

Bear case value of NT\$95: We assume labor shortages delay implementation of Taipower's grid resilience strengthening construction project.

Key upside risks to our price target/rating include:

- Increased overseas revenue contribution in the near term
- Additional government support in Taiwan to strengthen and expand electricity supply infrastructure for AI and data center development
- Stronger-than-expected revenue contribution from semiconductor customers

Key downside risks to our price target/rating include:

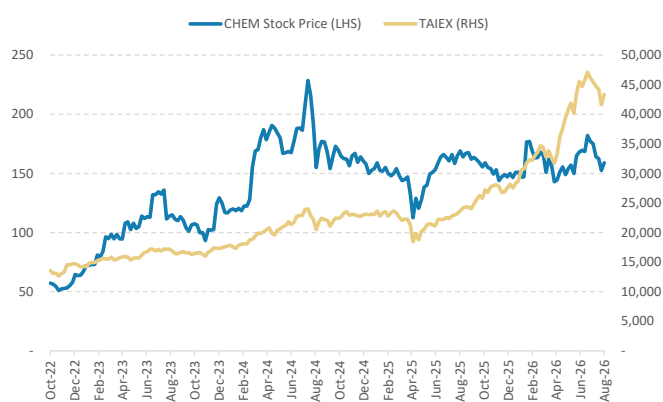
- Slower revenue growth due to labor shortages
- Delays in Taipower's grid strengthening program
- Operational incidents that disrupt production and reduce utilization rates

Exhibit 49: Chung-Hsin Electric: 12-month forward P/E



Source: FactSet, Morgan Stanley Research estimates.

Exhibit 50: Chung-Hsin Electric: Share price vs TAIEX



Source: FactSet, Morgan Stanley Research.

Chung-Hsin Electric & Machinery: Company Overview

Founded in 1956, Chung-Hsin Electric & Machinery is a Taiwan power equipment leader, with dominant domestic GIS exposure and strong positions in electrical equipment and turnkey power engineering. Driven by global energy transition and strong AIDC growth, the company has a robust order backlog of NT\$43.1bn as of April 2026. The company's fundamentals are supported by Taipower grid resilience demand, Japan-led exports, and emerging US opportunities via TSMC's Arizona Fab 21 Phase 2.

Business Segments

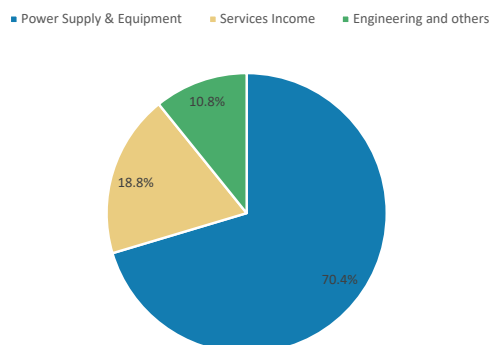
Power supply & equipment: The segment comprises power equipment manufacturing, including GIS and medium-voltage switchgear; new energy products, including hydrogen fuel cells and energy storage systems; and investments in renewable energy turnkey projects. In 2025, Chung-Hsin Electric held market shares of c.70% in electrical equipment, c.37% in substation turnkey projects, and c.36% in wind power projects in Taiwan, per the company's 2025 annual report. Gas-insulated switchgear remains a key equipment category under Taipower's Grid Resilience Strengthening Construction Project. Chung-Hsin Electric is currently the only domestic manufacturer in Taiwan to have passed Taipower's 345kV GIS qualification and maintains a leading position in the local GIS market, with ~70% share of domestic GIS sales above 69kV, per Chung-Hsin Electric's 2025 annual report.

Service: The segment provides contracted services across parking lot operations, residential building management, electromechanical maintenance, solar power maintenance, and environmental testing. Chung-Hsin Electric share of Taiwan parking lot revenue was ~6.3% in 2025, per CHEM's 2025 annual report.

Engineering and other: This division engages in contracting for various factory system projects, residential and building development, and other related services.

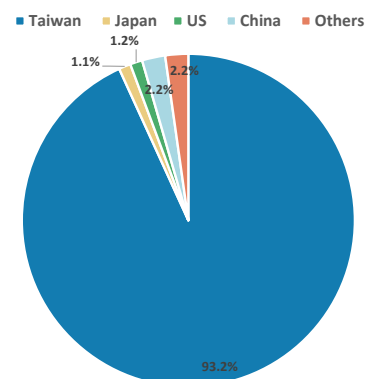
Export sales: Chung-Hsin Electric focuses on the Japanese market as its main engine for export growth, supported by recovering local power equipment demand. The company has also entered the power supply chain for TSMC's new Arizona fab 2, backed by its 345kV GIS capability. Chung-Hsin Electric expects related equipment orders to be signed in 3Q26, with shipments commencing in 1Q27. Chung-Hsin Electric is also actively expanding into Southeast Asia, particularly Vietnam and India, mainly by utilizing its production capacity in China to support these markets.

Exhibit 51: Chung-Hsin Electric: Revenue breakdown, by business segment (2025)



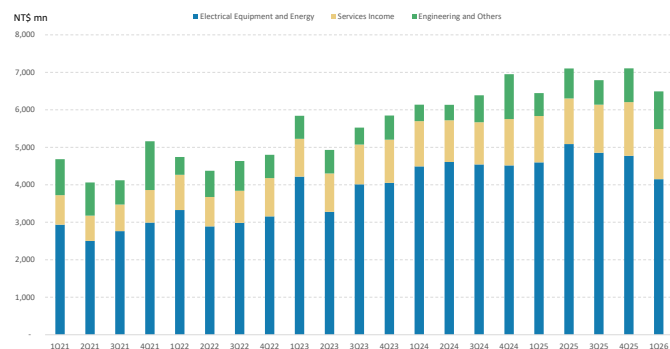
Source: Company data.

Exhibit 52: Chung-Hsin Electric: Revenue breakdown, by region (2025)



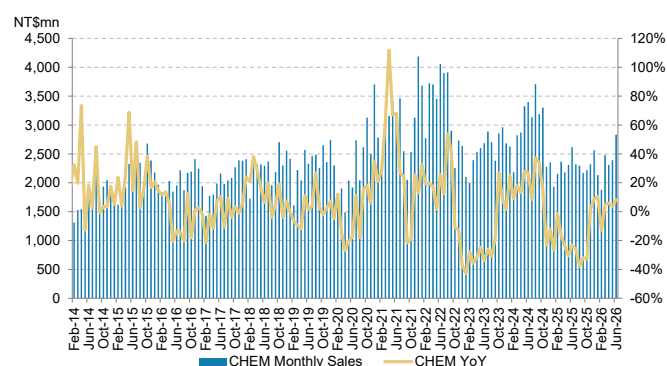
Source: Company data.

Exhibit 53: Chung-Hsin Electric: Revenue breakdown, by quarter



Source: Company data, Morgan Stanley Research.

Exhibit 54: Chung-Hsin Electric: Monthly sales trend



Source: TEJ, Morgan Stanley Research.

Company Milestones

Exhibit 55: Chung-Hsin Electric: Company milestones

Time	Company Milestones
1956	Founded in 1956 in Linkou, Taiwan, manufacturing electric motors and generators
1963	Partnered with General Electric to manufacture window-type air conditioners
1971	Partnered with GE to produce electric meters
1979	Diversified into parking management and engineering services through the establishment of DoDohome in 1995.
1980	Established a R&D department
1980	Partnered with P.E.I. to further upgrade generator manufacturing technology.
1983	Partnered with Hitachi to develop and manufacture GIS (Gas-Insulated Switchgear)
1986	Partnered with USC to develop electronic meters
1986	Partnered with Panasonic to manufacture split-type air conditioners
1989	Linkou plant commenced operations
1990	Established a Malaysian subsidiary and built a door opener plant in Malaysia
1990	Established a US subsidiary
1992	Entered the parking equipment manufacturing and sales business
1994	Listed on the Taiwan Stock Exchange under ticker 1513.TW
2003	Established Chung-Hsin Longyuan Electric to expand in China's high voltage electrical equipment market
2006	Established Chung-Hsin Electric Technology (Jiangsu) to assemble and sell products, expanding in China's high-voltage GIS market
2008	Established a new energy R&D center focused on energy-saving and clean-energy technologies, with fuel cells as a key focus
2010	Commissioned Taiwan's first operational fuel-cell power system in 2010, integrating hydrogen, wind, solar, battery storage, and smart energy management technologies.
2012	Formed a strategic partnership with fuel-cell company Ballard Power Systems
2014	Formed a JV with Japan's Nomura Machinery to produce horizontal boring and milling machines in Taiwan
2018	Completed the Shugu plant in Tainan, the company's key production base for vacuum chambers used in semiconductor, panel, and solar equipment
2019	Signed a 216MW solar PV development and 20-year operation and maintenance contract with Taiwan Sugar
2021	Connected the Tainan Qigu solar PV plant to the grid. With 216MW of installed capacity and expected annual generation of over 300mn kWh, it was Taiwan's largest ground-mounted solar plant.
2022	Completed containerized hydrogen power generation systems, developed two-, three-, and four-wheel hydrogen vehicles, and leased a 4,000-ping facility in Huaya Technology Park, investing nearly NT\$200mn to build a hydrogen mass-production base
2023	Purchased 6,612 m ² of plant and land in Taoyuan Technology Industrial Park and 35,868 m ² of plant and land in Chiayi Machouhou to meet rising power equipment demand under the Grid Resilience Program. Built a 6,215 m ² power supply warehouse.
2024	Renovated the Chiayi plant into a southern Taiwan production base for power supply products, increasing capacity by 20%.

Source: Company data.

Company Holdings

CHEM was founded in 1956 and went public in 1994. As of 2026, the top 2 shareholders

are Guang-Hsin Engineering & Services and Sheng Yuan Investment, both owned by the Jiang and Lin family. The families hold a stake of >15% in CHEM.

Chung-Hsin Electric & Machinery's board consists of one chairman, five directors, and three independent directors. Board representation is concentrated among major shareholders, with Sunrise Tech Co., Ltd. and Sheng-Yuan Investment Corp. controlling five of the company's nine board seats. Ownership is supported by a mix of company-affiliated entities and institutional investors, with the top 10 shareholders collectively holding 26.72% of outstanding shares as of March 27, 2026.

Exhibit 56: Chung-Hsin Electric: Key management holdings

As of 2026/2/28			
Share Holder Name	Title	# of shares	Holding %
Sunrise Tech. Co. Ltd	Chairman	6,266,514	1.25%
Representative: Chiang, Fu-Nein		77,401	0.02%
Sheng Yuan Investment Corp.	Director	44,688,546	8.88%
Representative: Lin, Hon-Ren		0	0.00%
Sunrise Tech. Co. Ltd	Director	6,266,514	1.25%
Representative: Chang, Wei-Chuan		311,121	0.06%
Sunrise Tech. Co. Ltd	Director	6,266,514	1.25%
Representative: Shen, Sung-Chin		0	0.00%
Sunrise Tech. Co. Ltd	Director	6,266,514	1.25%
Representative: Lin, Ching-Chung		221,784	0.00%
CHC International Investment Corp.	Director	2,256,730	0.45%
Representative: Weng, Ming-Xian		0	0.00%
Chen, Gene-Tzn	Independent Director	0	0.00%
Pai, Sing-San	Independent Director	0	0.00%
Chen, Horng-Chi	Independent Director	0	0.00%

Source: Company data.

Exhibit 58: Chung-Hsin Electric: Top 10 shareholders

As of 2026/03/27		
	# of Shares	Holding %
Sheng-Yuan Investment Corp.	44,688,546	8.88%
Guang-Hsin engineering & services Co., Ltd.	31,036,223	6.17%
Lian, A-Wen	11,292,000	2.24%
Yuantai Taiwan Value High Dividend ETF	10,814,000	2.15%
Norges Bank	8,728,000	1.73%
Quark Investment Co., Ltd.	6,450,000	1.28%
Sunrise Tech. Co. Ltd.	6,266,514	1.25%
Vanguard Total International Stock Index Fund, a series of Vanguard Star Funds	5,386,593	1.07%
Mercuries Life Insurance Co., Ltd.	5,331,000	1.06%
Investment Account Held in Custody by JPMorgan Chase Bank, N.A., Taipei Branch for J.P. Morgan Securities Ltd.	4,467,754	0.89%

Source: Company data.

Exhibit 57: Chung-Hsin Electric: Institutional holdings



Source: TEJ.

Exhibit 59: Chung-Hsin Electric: Company structure



Source: Company data. Note: Other affiliates include Global-Entech Cp. Ltd. (99.99%), Tone-zoom Industry Co., Ltd (23.28%), Sheng Yuan Investment Corp. (29.33%), Etrvision Technology Co., Ltd (99.99%), Baosen International CO., LTD (100%), Li-Xiang Technology Co., Ltd. (40%), Tian Cin Energy Co., Ltd (86.74%), Tian Fu Energy Co., Ltd (52.42%), Aura Material Inc. (37%), Stellar Power System Co., Ltd (5%), Shen Ghe Precision Co.Ltd. (45%), CHEM Corp. (100%), ME ENERGY SYSTEMS LIMITED (100%), EGME ENERGY ECOSYSTEMS (INDIA) PRIVATE LIMITED (71.8%).

Key Reports for Power AI and Global Thematic Outlook:

1. **Energy Meets Compute: Supercycle Recharges**

Energy shocks have become more frequent making energy and economic security critical in an AI world. US\$5 trillion-plus investment needs should kick-start a golden age in dependable energy investments to secure AI, food and tech supply chains after a decade of underinvestment. An investment supercycle unlocking US\$9 trillion in value beckons.

2. **Playing Asia's Investment Super-Cycle and Competitive Reinvention**

The competitive reinvention of Asia and global thematic drivers have set up an investment super-cycle across AI Infra, Energy/Economic Security and Defence. We continue to prefer upstream sectors and Financials vs. consumer/services, but highlight potential opportunities to broaden out from Compute.

3. **Revisiting Our 10 Thematic Predictions**

In January, we laid out 10 Thematic predictions. The notable dynamics since then: An explosion in compute demand and LLM capabilities, a delta in the valuation of assets that can/cannot be replicated by AI, a broader push for national self-sufficiency, and the continuing politics of energy.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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INDUSTRY COVERAGE: Taiwan Consumer and Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Terence Cheng		
China Airlines Ltd (2610.TW)	E (09/16/2025)	NT\$22.15
Chung-Hsin Electric & Machinery Mfg (1513.TW)	E (08/06/2026)	NT\$160.50
Eclat Textile (1476.TW)	O (12/04/2014)	NT\$364.50
Eva Airways Corp (2618.TW)	O (09/16/2025)	NT\$43.25
Feng Tay (9910.TW)	U (02/10/2026)	NT\$69.70
Fortune Electric Co Ltd. (1519.TW)	O (08/06/2026)	NT\$662.00
Fulgent Sun International Holding Co Ltd (9802.TW)	E (02/10/2026)	NT\$69.90
Giant Manufacturing (9921.TW)	O (02/02/2026)	NT\$90.20
Lai Yih Footwear Co Ltd (6890.TW)	E (11/24/2025)	NT\$170.50
Makalot Industrial (1477.TW)	O (11/07/2025)	NT\$226.00
Merida Industry (9914.TW)	O (02/02/2026)	NT\$79.50
Momo Com Inc (8454.TW)	U (01/15/2026)	NT\$258.00
Nien Made Enterprise (8464.TW)	O (04/10/2026)	NT\$382.00
Poya International Co Ltd (5904.TW0)	E (01/15/2026)	NT\$720.00
President Chain Store (2912.TW)	U (01/15/2026)	NT\$220.00
Uni-President Enterprises Corp. (1216.TW)	U (01/15/2026)	NT\$73.00

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* Historical prices are not split adjusted.